FOUNDATION COURSE

REVISION TEST PAPERS

JANUARY, 2026

BOARD OF STUDIES (ACADEMIC)

THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

(Set up by an Act of Parliament)

New Delhi

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REVISION TEST PAPER, JANUARY 2026–OBJECTIVE & APPROACH

(Students are advised to go through the following paragraphs carefully to derive maximum benefit out of this RTP)

I. Objective of Revision Test Paper

Revision Test Papers are one among the many educational inputs provided by the Board of Studies (Academic) to its students. Popularly referred to as RTP by the students, it is one of the very old publications of the BOS (A) whose significance and relevance from the examination perspective has stood the test of time.

The primary objectives of the RTP are:

- To help students get an insight of their preparedness for the forthcoming examination;
- To update them on the latest developments relevant for the forthcoming examination in select subjects;
- To enhance the confidence level of the students adequately.

Students must bear in mind that the RTP contains a variety of questions based on different topics of the syllabi and thus a comprehensive study of the entire syllabus is a pre-requisite before answering the questions of the RTP. In other words, in order to derive maximum benefit out of the RTPs, it is advised that before proceeding to solve the questions given in the RTP, students ought to have thoroughly read the Study Materials and Statutory Update, wherever applicable.

The topics on which the questions are set herein have been carefully selected and meticulous attention has been paid in framing different types of questions. Detailed answers are provided to enable the students to do a self-assessment and have a focused approach for effective preparation.

Live Virtual Classes by renowned subject experts conducted free of charge for the students of Foundation, Intermediate and Final levels provide the students much required support in preparing for their exams conveniently at home as these classes can be accessed live or viewed later as recorded lectures through hand-held devices such as smart phones, laptops, I-pads, tablets, etc. anytime and anywhere. Further,

students are advised to attempt the Multiple-Choice Questions (MCQs) at MCQ Paper Practice Portal which is a holistic platform for self-assessment within the stipulated timeframe.

Students are welcome to send their suggestions for fine tuning the RTP to the Joint Director, Board of Studies (Academic), The Institute of Chartered Accountants of India, A-29, Sector-62, Noida 201309 (Uttar Pradesh). RTP is also available on BOS Knowledge Portal at *https://boslive.icai.org* for downloading.

II. Planning and preparing for examination

Ideally, when the RTP reaches your hand, you must have finished reading the relevant Study Materials of all the subjects available at the BoS Knowledge Portal. Get a good grasp of the concepts/ provisions/ amendments/ cases discussed therein.

After reading the Study Materials proceed to solve the questions given in the RTP on your own. RTP is an effective tool to revise and refresh the concepts and provisions discussed in the Study Material. RTPs are provided to you to help you assess your level of preparation. Hence you must solve the questions given therein on your own and thereafter compare your answers with the answers given therein.

Examination tips

How well a student fares in the examination depends upon the level and depth of his preparation. However, there are certain important points which can help a student better his performance in the examination. These useful tips are given below:

- Reach the examination hall well in time.
- As soon as you get the question paper, read it carefully and thoroughly. You are given separate 15 minutes for reading the question paper.
- Plan your time so that appropriate time is awarded for each question.
- First impression is the last impression. The question which you can answer in the best manner should be attempted first.

- Always attempt to do all questions. Therefore, it is important that you must finish each question within allocated time. Keep sometime for checking the answers as well.
- Read the question carefully more than once before starting the answer to understand very clearly as to what is required.
- Answer all parts of a question one after the other; do not answer different parts of the same question at different places.
- Write in a neat and legible hand-writing.
- Always be concise and write to the point and do not try to fill pages unnecessarily.
- There must be logical expression of the answer.
- In case a question is not clear, you may state your assumptions and then answer the question.
- Check your answers carefully and underline important points before leaving the examination hall.

III. Subject-wise Applicability

PAPER – 1 : ACCOUNTING

The August, 2024 edition of the Study Material, comprising of two modules, is applicable for the students appearing for January, 2026 Examination. For understanding the coverage of syllabus, it is important to read the Study Material carefully.

You must read the study material thoroughly to attain conceptual clarity. The tables, diagrams and flow charts in study material have been extensively prepared to facilitate easy understanding of concepts. Likewise, examples, and illustrations given in the Study Material would enable you to grasp the application of theoretical concepts in real-world scenarios. After covering the concepts and illustrations, work out the test your knowledge questions at the end of each chapter and then compare your answers with the answers given to test your level of understanding. This will help you to maximize your speed and accuracy in solving Practical Questions in the Examination.

The RTP consists of eighteen questions together with their answers on different topics discussed in the study material. Answers to the questions have been given in detail along with the working notes for easy understanding and comprehending the steps in solving the problems. Moreover, the answers have been presented in the same manner as expected from the students in the examination. The students are expected to solve the questions under examination conditions and then compare their solutions with the solutions given in the RTP. This will facilitate them to further strategies their preparation for scoring good marks in the examination.

PAPER – 2: BUSINESS LAWS

The August 2024 edition of the Study Material is applicable for Paper 2: Business Laws, Foundation Course. The Study Material is based on the provisions of the Indian Contract Act, 1872, the Sale of Goods Act, 1930, the Indian Partnership Act, 1932, the Limited Liability Partnership Act, 2008, the Companies Act, 2013, and the Negotiable Instruments Act, 1881 as amended upto 30th June, 2024.

The students are advised to read the Study Material thoroughly to attain conceptual clarity. Tables, diagrams and flow charts have been extensively used to facilitate easy understanding of concepts. Examples given in the Study Material would help the students to understand the application of concepts. Work out the exercise questions at the end of each chapter and then compare your answers with the answers given to test your level of understanding.

This RTP consists of twenty-three questions together with their answers on different topics discussed in the study material. Answers to the questions have been given in detail for easy understanding and comprehending the steps in solving the problems. Moreover, the answers have been presented in the same manner as expected from the students in the examination. The students are expected to solve the questions given in this RTP independently and compare the same with the answers given to assess your level of preparedness for the examination.

PAPER – 3: QUANTITATIVE APTITUDE

The August 2024 edition of the Study Material is applicable for January, 2026 Examination of Foundation Course Paper 3: Quantitative Aptitude. The Study material divided into three parts, the first part of the study material Business Mathematics (Chapters 1-8) covers basic mathematical techniques like ratio, proportion, indices, logarithms, equations and linear inequalities, mathematics of finance, permutations and combinations, sequence and series, sets, relations and basic applications of differential and integral calculus in economics and business. The second part of the study material (Chapters 9-12) covers logical reasoning and the third part (Chapters 13-18) of the basic principles of statistical techniques and measurement thereof.

Features of the Study Material:

- Simple, clear language for easy understanding.
- Illustrations and examples in each chapter to clarify concepts and techniques.
- A comprehensive MCQ's and Additional Question Banck at the end of chapters to practice and strengthen understanding.

Apart from the Study material, The Revision Test Paper (RTP) for Foundation Course Paper 3: Quantitative Aptitude is a valuable tool designed to help students prepare effectively for the CA Foundation examination.

About the Revision Test Paper (RTP)

- Contains 30 questions with answers.
- Covers diverse topics from the study material.
- Designed to test conceptual understanding and computational skills.
- Acts as a practice set before the main exam.

PAPER – 4: BUSINESS ECONOMICS

The August 2024 edition of the Study Material is applicable for January, 2026 Examination of Foundation Course Paper 4: Business Economics. The Study is having 10 Chapters which includes Microeconomics, Macro Economics, Public Finance, Money Market, International Trade and Indian Economy.

Features of the Study Material:

Simple, clear language for easy understanding

Illustrations and examples in each chapter to clarify concepts and techniques.

A comprehensive MCQ's and Summary at the end of chapters to practice and strengthen understanding.

Apart from the Study material, The Revision Test Paper (RTP) for Foundation Course Paper 4: Business Economics is a valuable tool designed to help students prepare effectively for the CA Foundation examination.

About the Revision Test Paper (RTP)

- Contains 25 questions with answers.
- Covers diverse topics from all of the study material.
- Designed to test conceptual understanding and computational skills.
- Acts as a practice set before the main exam.

PAPER – 1: ACCOUNTING

QUESTIONS

True and False

1. State with reasons, whether the following statements are true or false:

   (a) The concept of conservatism when applied to the balance sheet results in understatement of assets.

   (b) M/s Raj Yog & Co. runs a cafe. They renovated some of the old cabins. Because of this renovation some space was made free and number of cabins was increased from 25 to 28. The total expenditure incurred was ₹ 50,000 and was treated as a revenue expenditure.

   (c) Bank reconciliation statement is prepared to arrive at the bank balance.

   (d) The provision for bad debts is debited to sundry debtors account.

   (e) Depreciation is a non-cash expense and does not result in any cash outflow.

   (f) Discount at the time of retirement of a bill is a gain for the drawee.

   (g) The provision for discount on creditors is often not provided in keeping with the principle of conservatism.

   (h) The firm will receive surrender value of the joint life policy on the death of the partner.

(i) Where a Non-Profit organization separate trading activity, the profit/loss from the trading account shall be transferred to Income Expenditure Account at the time of consolidation.

(j) A fixed charge generally covers all the assets of the company including future one.

Theoretical Framework

2. (a) Discuss the limitations which must be kept in mind while evaluating the Financial Statements.

(b) Distinguish between Going concern and cost concept.

Journal Entries

3. (a) You are required to pass necessary journal entries in the books of Mahesh:

(i) Cheque amounting ₹ 24,000 from Shankar in full settlement of his account for ₹ 25,000.

(ii) Withdrawn for personal use: Goods (Sales Price ₹ 9,000, Cost ₹ 6,000), cash ₹ 3,000

(iii) Goods costing ₹ 3,000 (Sale price ₹4,000) distributed as free samples.

(iv) Received commission ₹ 15,000, half of which does not relate of current year and is received in advance.

(v) Income tax liability of proprietor ₹ 18,500 was paid out of petty cash.

(vi) Purchase of goods from Sunny of the list price of ₹ 15,000. He allowed 10% trade discount, ₹ 200 cash discount was also allowed for quick payment.

Capital or Revenue Expenditure

(b) Classify each of the following transactions into capital or revenue transactions:

- Legal fees on the acquisition of land.
- Complete repaint of existing building.

- Repainting of a delivery van.
- Providing drainage for a new piece of water-extraction equipment.
- Carriage costs on a replacement part for a piece of machinery.

Subsidiary Books

4. (a) Prepare Sales Book of M/s. Kabir of Almora for January 2025:

Jan. 5 Sold to M/s ABC 10 pieces of Chairs @ 5,000/- each less Trade Discount 5%.

Jan. 12 Sold to M/s PQR 25 pieces of Tables @ 2,000/- each less Trade Discount 10%.

Jan. 18 Sold to M/s MTB 5 pieces of Recliner Chairs @ 11,000/- each less Trade Discount 10%. Payment received through cheque.

Jan. 28 Sold to M/s LMN 50 pieces of cupboards @ 10,000/ each less Trade Discount 20%.

Rectification of Errors

(b) Mr. Lalit was unable to agree the Trial Balance last year and wrote off the difference to the profit and loss account of that year. On verifying the old books by a Chartered Accountant next year, the following mistakes were found.

(i) Purchase account was undercast by ₹ 16,000.

(ii) Sale of goods to Ms. Rashmi for ₹ 5,000 was omitted to be recorded.

(iii) Receipt of cash from Mr. Ashok was posted to the account of Mr. Anubhav ₹ 1,200.

(iv) Amount of ₹ 4,167 of sales was wrongly posted as ₹ 4,617.

(v) Repairs to Machinery was debited to Machinery Account ₹ 6,100.

(vi) A credit purchase of goods from Mr. David for ₹ 3,000 entered as sale.

Suggest the necessary rectification entries.

Bank Reconciliation Statement

5. According to the cash-book of Arun there was balance of ₹ 8,90,000 in his bank on 30th June, 2025 On investigation you find that :

(i) Cheques amounting to 1,20,000 issued to creditors have not been presented for payment till the date

(ii) Cheques paid into bank amounting to 2,21,000 out of which cheques amounting to ₹ 1,10,000 only collected by bank up to 30th June 2025

(iii) A dividend of ₹ 8,000 and rent amounting to 1,20,000 received by the bank and entered in the pass-book but not recorded in the cash book.

(iv) Insurance premium (up to 31st December, 2024) paid by the bank ₹ 5,400 not entered in the cash book.

(v) The payment side of the cash book had been under cast by ₹ 1,000

(vi) Bank charges ₹ 300 shown in the pass book had not been entered in the cash book.

(vii) A bill payable of ₹ 40,000 had been paid by the bank but was not entered in the cash book and bill receivable for ₹ 12,000 had been discounted with the bank at a cost of ₹ 200 which had also not been recorded in cash book.

You are required:

(1) To make the appropriate adjustments in the cash book, and

(2) To prepare a statement reconciling it with the bank pass book.

Valuation of Inventories

6. Puneet closed his books of account on 31stMarch, each year. Inventory taking for the year ended 31st March, 2025 was completed by

10th April, 2025 on which date value of the stock available in godown was of ₹ 4,50,000 at cost.

Following are the details of transactions that took place between 31st March, 2025 and 10th April, 2025:

(i) Goods sold to customers ₹1,10,000.

(ii) Sales return ₹ 10,000.

(iii) Purchases ₹ 85,000 (Including Cash Purchases ₹ 10,000).

(iv) Purchases return amounted to ₹ 2,500.

(v) Goods costing 20,000 received in March, for sale on consignment basis, out of which 60% of goods had been sold by 10th April. These sales are not included in above sales.

(vi) After the stock was taken, it was found that there was certain very old slow- moving items costing ₹ 16,000, which should be taken at ₹ 9,500 to ensure disposal to an interested customer.

Goods are sold at a profit margin of 25% on cost. Ascertain the value of inventory for inclusion in the final accounts for the year ended 31st March, 2025.

Depreciation and Amortisation

7. M/s. Alankrit Transport Company purchased 10 Buses @ ₹ 50,00,000 each on 1st October,2021. On 1st January, 2024, one of the Buses is involved in an accident and is completely destroyed and ₹ 35,00,000 is received from the insurance in full settlement. On the same date, another bus is purchased by the company for the sum of ₹ 60,00,000. The company writes off 20% of the original cost per annum.

Give the Bus Account for the years ending 31st March, 2024 and 31st March,2025.

Bills of Exchange

8. On October, 2025, X sells goods to Y for 25,000 plus IGST @ 18% and draws two bills of exchange on him; the first bill fort 15,000 for 2 months and second bill for the balance for 3 months. Y accepts and returns these bills to X. Both the bills are sent to the bank for collection on

1st October, 2025. In due course, X receives the information from the bank on the due date of the respective bill that the bill for 15,000 has been duly met and the other bill has been dishonored. Noting charges paid on the dishonor of second bill are 500. Pass the journal entries in the books of X.(Ignore date Column)

Final accounts

9. The following are the balances extracted from the books of Shri Mohan Gupta as on 31.03.2025, who carries on business under the name and style of M/s Gupta & Associates at Jaipur:

Particulars	Debit (₹)	Credit (₹)
Capital A/c		14,11,400
Purchases	12,00,000	
Purchase Returns		18,000
Sales		15,00,000
Sales Returns	24,000	
Freight Inwards	62,000	
Carriage Outwards	8,500	
Rent of Godown	55,000	
Rates and Taxes	24,000	
Salaries	72,000	
Discount allowed	7,500	
Discount received		12,000
Drawings	20,000	
Printing and Stationery	6,000	
Insurance premium	48,000	
Electricity charges	14,000	
General expenses	11,000	
Bank charges	3,800	
Bad debts	12,200	

Repairs the Motor vehicle	13,000	
Interest on loan	4,400	
Provision for Bad-debts		10,000
Loan from Mr. Rajan		60,000
Sundry creditors		62,000
Motor vehicles	1,00,000	
Land and Buildings	5,00,000	
Office equipment	2,00,000	
Furniture and Fixtures	50,000	
Stock as on 31.03.2024	3,20,000	
Sundry debtors	2,80,000	
Cash at Bank	22,000	
Cash in Hand	16,000	
Total	30,73,400	30,73,400

Prepare Trading and Profit and Loss Account for the year ended 31.03.2025 and the Balance Sheet as at that date after making provision for the following:

(a) Depreciate Building by 5%, Furniture and Fixtures by 10%, Office Equipment by 15% and Motor Car by 20%.

(b) Value of stock at the close of the year was ₹ 4,10,000.

(c) One month rent for godown is outstanding.

(d) Interest on loan from Rajan is payable @ 10% per annum. This loan was taken on 01.07.2024

(e) Reserve for bad debts is to be maintained at 5% of Sundry debtors.

(f) Insurance premium includes ₹ 42,000 paid towards proprietor's life insurance policy and the balance of the insurance charges cover the period from 01.04.2024 to 30.06.2025.

Financial Statements of Not for Profit Organizations

10. The following is the Receipts and Payments Account of a Sports Club for the year ended 31st December, 2025.

Receipts	₹	Payments	₹
To Balance b/d	7,500	By Salaries	14,000
To Subscriptions (including ₹ 2,000 for the year 2024)	40,000	By Match Expenses	28,000
		By Sports Materials	15,000
To Donations	15,000	By Printing & Stationery	12,000
To Life Membership Fees	35,000	By Honorarium	5,000
		By Furniture	15,000
To Sale of Furniture at book value	5,000	By Magazines & Journals	10,000
To Entrance Fees	10,000	By Books	35,000
To Interest on 10% Investments for the full year	20,000	By Municipal Taxes	6,000
		By Balance c/d	80,000
To Match Fund	40,000		
To Donation for Building Fund	45,000		
To Sale of Newspapers	2,500		
	2,20,000		2,20,000

Additional Information:

(i) The position of the Club on January 1, 2025 was as follows:

Subscriptions due	₹ 3,000
Furniture	₹ 10,000
Books	₹ 20,000
Building	₹ 1,25,000
Stock of Sports Materials	₹ 4,500
Creditors for Printing	₹ 2,500

(ii) The Club has 1,000 members each paying an annual subscription of ₹ 50. 20 members paid their subscription in advance in 2024. In the year 2025, subscription was received in advance from 15 members.

(iii) Municipal Taxes paid on 1st April every year.

(iv) One member donated a Billiard Table worth ₹ 50,000.

(v) Books were worth ₹ 46,000 on 31st December, 2025 and stock of sports materials on that date amounted to ₹ 4,000.

Prepare Income and Expenditure Account for the year ended 31st December, 2025 and Balance Sheet as on that date.

Accounts from Incomplete Records

11. Deep Enterprises maintain their books of accounts under single entry system. The Balance-Sheet as on 31st March, 2024 was as follows :

Liabilities	Amount (₹)	Assets	Amount (₹)
Capital A/c	3,37,500	Furniture & fixtures	75,000
Trade creditors	3,78,750	Stock	4,57,500
Outstanding expenses	33,750	Trade debtors	1,56,000
		Prepaid insurance	1,500
		Cash in hand & at bank	60,000
	7,50,000		7,50,000

The following was the summary of cash and bank book for the year ended 31st March, 2025:

Receipts	Amount (₹)	Payments	Amount (₹)
Cash in hand & at Bank on 1st April, 2024	60,000	Payment to trade creditors	62,41,500

Cash sales	55,35,000	Sundry expenses paid	4,65,525
Receipts from trade debtors	13,87,500	Drawings	1,80,000
		Cash in hand & at Bank on 31st March, 2025	95,475
	69,82,500		69,82,500

Additional Information:

(i) Discount allowed to trade debtors and received from trade creditors amounted to ₹ 27,000 and ₹ 21,250 respectively (for the year ended 31st March, 2025).

(ii) Annual fire insurance premium of ₹ 4,500 was paid every year on 1st August for the renewal of the policy.

(iii) Furniture & fixtures were subject to depreciation @ 15% p.a. on diminishing balance method.

(iv) The following are the balances as on 31st March, 2025:

Stock	₹ 4,87,500
Trade debtors	₹ 1,71,500
Outstanding expenses	₹ 27,600

(v) Gross profit is to be maintained at 10% on total sales.

You are required to prepare Trading and Profit & Loss account for the year ended 31st March, 2025, and Balance Sheet as on that date.

Partnership Accounts

Calculation of Goodwill

12. Sita, Gita and Rita are in partnership sharing profit and losses at the ratio of 2:5:3. The Balance Sheet of the partnership as on 31.03.2025 was as follows:

Balance Sheet of M/s Sita, Gita and Rita as at 31st March,2025

Liabilities	₹	Assets	₹
Capital A/cs		Sundry fixed assets	15,00,000
Sita	2,55,000	Inventory	3,00,000
Gita	9,45,000	Trade receivables	1,50,000
Rita	6,75,000	Bank	15,000
Trade payables	90,000		
	19,65,000		19,65,000

The partnership earned profit ₹ 6,00,000 during 2024-25 and the partners withdrew ₹ 4,50,000 during the year. Normal rate of return 30%.

You are required to calculate the value of goodwill on the basis of 5 years' purchase of super profit. For this purpose, calculate super profit using average capital employed.

Dissolution of Partnership Firm

13. A, B and C are partners sharing profits and losses in the ratio of 2:2:1 respectively. The Balance Sheet of the firm as at 31st March, 2025 is as follows:

Liabilities		₹	Assets	₹
Capital Accounts:			Fixed Assets	2,00,000
			Current Assets:	
A	1,46,000		Stock	1,25,000
B	54,000		Debtors	1,25,000
C	50,000	2,50,000		
C's Loan Account		25,000	Cash	5,000
Mrs. A's Loan A/c		50,000	Advance to B	20,000
Sundry Creditors		1,25,000		
Provision for Bad Debts		25,000		
		4,75,000		4,75,000

The firm was dissolved on 31st March,2025. After preparing the Balance Sheet as on 31st March, 2025; it was discovered that purchases amounting to ₹ 20,000 in March, 2025 were not recorded in the books, though the goods were received during March, 2025.

Fixed Assets realised ₹ 1,00,000, Stock ₹ 1,05,000 and Debtors ₹ 1,02,500. Creditors were paid after deduction of discount @2%, The realisation expenses amounted ₹ 5,400. A agreed to take over the loan of Mrs. A. B is insolvent and his estate is unable to contribute anything. Prepare Realisation A/c, Partners Capital A/c and Cash A/c applying the principles of Garner v. Murray.

Issue and Redemption of Shares

14. Greenrock Limited is a company with an authorized share capital of ₹ 4,00,00,000 in equity shares of ₹ 10 each, of which 30,00,000 shares had been issued and fully paid on 30th June, 2024. The company proposed to make a further issue of 2,60,000 shares of ₹ 10 each at a price of ₹ 12 each, the arrangements for payment being:

(i) ₹ 2 per share payable on application, to be received by 1st July, 2024;

(ii) Allotment to be made on 10th July, 2024 and a further ₹ 5 per share (including the premium) to be payable;

(iii) The final call for the balance to be made, and the money received by 31th March, 2025.

Applications were received for 8,40,000 shares and were dealt with as follows:

(1) Applicants for 40,000 shares received allotment in full;

(2) Applicants for 2,00,000 shares received an allotment of one share for every two applied for; no money was returned to these applicants, the surplus on application being used to reduce the amount due on allotment;

(3) Applicants for 6,00,000 shares received an allotment of one share for every five shares applied for; the money due on allotment was retained by the company, the excess being returned to the applicants; and

(4) The money due on final call was received on the due date.

You are required to record these transactions (including cash items) in the journal of Greenrock limited.

15. Give necessary journal entries for the forfeiture and re-issue of shares:

(i) Windy Whale Ltd. forfeited 900 shares of ₹ 10 each fully called up, held by Varun for non-payment of allotment money of ₹ 3 per share and final call of ₹ 4 per share. He paid the application money of ₹ 3 per share. These shares were re-issued to Nitesh for ₹ 8 per share.

(ii) A Ltd. forfeited 200 shares of ₹ 10 each (₹ 7 called up) on which Kamal had paid application and allotment money of ₹ 5 per share. Out of these, 150 shares were re-issued to Tamal as fully paid up for ₹ 6 per share.

Issue and Redemption of Debentures

16. A company had issued 80,000, 12% debentures of ₹ 100 each on 1st April, 2021. The debentures were due for redemption on 1st March, 2025. The terms of issue of debentures provided that they were redeemable at a premium of 5%. The company offered an option to the debenture holders to convert redeemable value of 20% of their holding into equity shares (nominal value ₹ 10) at a predetermined price of ₹ 15 per share and the payment in cash for remaining debentures. 100 debentures holders holding totally 10,000 debentures did not exercise the option. Calculate the number of equity shares to be allotted to the debenture holders and the amount to be paid in cash on redemption.

Redemption of Preference Shares

17. The following balances appeared in the Books of Silver Stone Ltd. as on 31st December, 2024:

	Amount (₹)
1,600,000, 10% Preference shares of ₹ 100 each, ₹ 75 paid up	1,20,00,000
4,00,000 Equity share of ₹ 100 each fully paid up	4,00,00,000
Securities Premium	13,00,000
Capital Redemption Reserve	84,00,000
General Reserve	1,70,00,000

Under the terms of their issue, the preference shares are redeemable on 31st March,2025 at a premium of 5%. In order to finance the redemption, the company makes a right issue of 1,20,000 equity shares of ₹ 100 each at a premium of 10%, ₹ 25 being payable on application, ₹ 45 (including premium) on allotment and the balance on 1st August, 2025. The issue was fully subscribed and the allotment made on 1st March,2025. The amount due on allotment was duly received by 25th March,2025.

The preference shares were redeemed after fulfilling the necessary conditions of section 55 of the Companies Act, 2023.

You are required to pass the necessary Journal Entries (including narrations) to give effect to the above arrangement. Also prepare the Notes to accounts on Share Capital Reserves and Surplus relevant to the Balance Sheet immediately after the redemption of preference shares as on 31st March, 2025. Ignore date column in Journal.

18. Write short notes on the following:

(i) Rules of posting of journal entries into Ledger.

(ii) Importance of bank reconciliation statement to an industrial unit.

(iii) Periodic Inventory System Vs Perpetual Inventory System

(iv) Trade bill vs. Accommodation bill.

(v) Contingent Asset and Contingent Liability

SUGGESTED ANSWERS/HINTS

1. ***(a)*** **False**: Conservatism states that the accountant / entity should not anticipate any future income. However, they should provide for all possible / probable losses. Imprudent use of concept of conservatism may lead to understatement of income and assets.

(b) **False:** Renovation of cabins increased the number of cabins. This has an effect on the future revenue generating capability of the business. Thus, this renovation expense is capital expenditure in nature.

(c) **False:** Bank reconciliation statement is prepared to reconcile and explain the causes of differences between bank balance as per cash book and the same as per bank statement as on a particular date.

(d) **False:** The provision for bad debts is debited to Profit and loss Account and in Balance Sheet it is shown either on liability side or deducted from the head debtors.

(e) **True:** Depreciation is a non-cash expense and unlike other normal expenditure (e.g. wages, rent, etc.) does not result in any cash outflow.

(f) **True:** Discount at the time of retirement of a bill is a gain for the drawee and loss for the drawer.

(g) **True:** According to the principle of conservatism provision is maintained for the losses to be incurred in future. Discount on creditors is an income so provision in not maintained.

(h) **False:** the firm will receive full value of sum assured of the joint life policy on the death of the partner.

(i) **True:** Where in case of the Trading activities for Non-Profit organization, the profit / loss from such activity is to be transferred to the income Expenditure Account at the time of consolidation.

(j) **False:** A fixed charge is a mortgage on specific assets. A floating charge generally covers all the assets of the company including future one

2. Limitations which must be kept in mind while evaluating the Financial Statements are as follows:

- The factors which may be relevant in assessing the worth of the enterprise don't find place in the accounts as they cannot be measured in terms of money.
- Balance Sheet shows the position of the business on the day of its preparation and not on the future date while the users of the accounts are interested in knowing the position of the business in the near future and also in long run and not for the past date.
- Accounting ignores changes in some money factors like inflation etc.
- There are occasions when accounting principles conflict with each other.
- Certain accounting estimates depend on the sheer personal judgement of the accountant.
- Different accounting policies for the treatment of same item adds to the probability of manipulations.

(b) **Going Concern concept:** The financial statements are normally prepared on the assumption that an enterprise is a going concern and will continue its operation for the foreseeable future. Hence, it is assumed that the enterprise has neither the intention nor the need to liquidate or curtail materially the scale of its operations; if such an intention or need exists, it should be disclosed in the financial statements.

Cost concept: It means that the value of an asset is to be determined on the basis of historical cost, in other words, acquisition cost. Although there are various measurement bases, accountants traditionally prefer this concept in the interests of objectivity.

3. (a) (i) In the books of Mahesh

Journal entries

	Particulars		Dr.	Cr.
			Amount₹	Amount₹
(i)	Bank A/c	Dr.	24,000	
	Discount allowed A/c	Dr.	1,000	
	To Shankar A/c			25,000
	(Being amount received from Shankar after allowing discount of 1,000).			
(ii)	Drawings	Dr.	9,000	
	To Purchases A/c			6,000
	To Cash A/c			3,000
	(Being goods and cash withdrawn for personal use).			
(iii)	Free Samples/Sales promotion A/c	Dr.	3,000	
	To Purchases A/c			3,000
	(Being the goods distributes as free samples).			
(iv)	Bank A/c	Dr.	15,000	
	To Commission A/c			15,000
	(Being commission received).			
	Commission A/c	Dr.	7,500	
	To Commission received in Advance A/c/ Prepaid Commission A/c			7,500
	(Being commission received in advance adjusted).			

(v)	Drawings A/c	18,500	
	To Petty Cash A/c		18,500
	(Being the income tax of proprietor paid out of business money		
(vi)	Purchase A/c	13,500	
	To Bank A/c		13,300
	To Discount Received A/c		200
	(Being the goods purchased from Sunny for ₹ 15,000 @ 10% trade discount and cash discount of ₹ 200)		

(b)
- Legal fees on acquisition of land: Capital Expenditure
- Complete repaint: Revenue Expenditure
- Repainting van: Revenue Expenditure
- Drainage for new equipment: Capital Expenditure
- Carriage costs on replacement part: Revenue Expenditure

4. (a) Sales Book of M/s Kabir for January, 2025

Date	Particulars	Details ₹	L.F.	Amount ₹
2025	M/s. ABC			
	10 chairs @ ₹5000	50,000		
	Less: 5% Trade Discount	(2,500)		47,500
	(Sales as per invoice no. dated .....)			
	M/s. PQR			
	25 Chairs @ ₹2,000	50,000		
	Less: 10% Trade Discount	5,000		45,000
	(Sale as per invoice no. dated .....)			

	M/s LMN			
	50 Cupboards @ ₹10,000	5,00,000		
	Less: 20% Trade Discount	(1,00,000)		
	(Sales as per invoice no. dated……)			4,00,000
		Total		4,92,500

(b) Journal Entries in the books of Mr. Lalit

Date	Particulars		Dr. (₹)	Cr. (₹)
(i)	Profit & Loss Adjustment A/c	Dr.	16,000	
	To Suspense*A/c			16,000
	(Purchase Account under cast in the previous year; error now rectified)			
(ii)	Rashmi's Account	Dr.	5,000	
	To Profit & Loss Adjustment A/c			5,000
	(Sales to Rashmi omitted last year; now adjusted)			
(iii)	Anubhav's Account	Dr.	1,200	
	To Ashok's Account			1,200
	(Amount received from Ashok wrongly posted to the account of Anubhav now rectified)			
(iv)	Profit & Loss Adjustment A/c	Dr.	450	
	To Suspense* A/c			450
	(Excess posting to sales account last year, ₹ 4,617, instead of ₹ 4,167 now adjusted)			

(v)	Profit & Loss Adjustment A/c	Dr.	6,100	
	To Machinery A/c			6,100
	(Repairs to Machinery was wrongly debited to Machinery account, now rectified)			
(vi)	Profit & Loss Adjustment A/c	Dr.	6,000	
	To Mr. David A/c			6,000
	Credit purchase of goods from Mr. David sale last year, now rectified)			
(vii)	Lalit's Capital A/c	Dr.	23,550	
	To Profit and Loss Adjustment Account			23,550
	(Being balance in P & L Adjustment Account transferred to Lalit's Capital A/c – Refer W.N. 1)			
(viii)	Suspense A/c	Dr.	16,450	
	To Lalit's Capital A/c			16,450
	(Being balance of Suspense A/c transferred to Capital A/c– Refer W.N. 2)			

*****Considering that the difference was posted to Suspense account.*

Working Notes

1. Profit and Loss Adjustment Account

	₹		₹
To Suspense A/c	16,000	By Rashmi's A/c	5,000
To Suspense A/c	450	By Lalit's Capital A/c (Bal. Transfer)	23,550
To Machinery A/c	6,100		
To Mr. David's A/c	6,000		
	28,550		28,550

2. Suspense Account

	₹		₹
To Lalit's Capital A/c (Balance Transfer)	16,450	By P & L Adj. A/c	16,000
		By P & L Adj. A/c	450
	16,450		16,450

5. (i) In the Books of Mr. Arun

Cash Book (Bank Column)

Receipts	₹	Payments	₹
To Balance b/d	8,90,000	By Insurance premium A/c	5,400
To Dividend A/c	8,000	By Correction of errors	1,000
To Rent A/c	1,20,000	By Bank charges	300
To Bill receivable A/c	11,800	By Bill payable	40,000
		By Balance c/d	9,83,100
	10,29,800		10,29,800

Bank Reconciliation Statement as on 30th June, 2025

	₹
Adjusted balance as per cash book	9,83,100
Add: Cheques issued but not presented for payment till 30th June, 2025	1,20,000
Less: Cheques paid into bank for collection but not collected till 30th June, 2025	(1,11,000)
Balance as per pass book	9,92,100

6. Statement of Valuation of Inventory as on 31st March, 2025

Particulars	Amount (₹)	Amount (₹)
Value of stock as on 10th April, 2025		4,50,000

Add: Cost of sales during the period from 31st March, 2025 to 10th April, 2025:		
Sales (₹ 1,10,000 - ₹ 10,000)	1,00,000	
Less: Gross profit (25% on cost i.e. 20% on sales)	(20,000)	80,000
		5,30,000
Less: Purchases during the period from 31st March, 2025 to 10th April, 2025 (85,000- 2,500)	82,500	
Unsold stock out of goods received on consignment basis (40% of ₹ 20,000)	8,000	
Loss on revaluation of slow-moving inventories (16,000-9,500)	6,500	(97,000)
		4,33,000

7. **Buses A/c**

Date	Particulars	Amount (₹)	Date	Particulars	Amount (₹)
01.04.23	To balance b/d	3,50,00,000	01.01.24	By bank A/c	35,00,000
	To Profit & Loss A/c				
01.01.24	To Profit on settlement of Truck (W. Note 1)	7,50,000	01.01.24	By Depreciation on lost assets	7,50,000
01.01.24	To Bank A/c	60,00,000	31.03.24	By Depreciation A/c (W Note 3)	93,00,000
			31.03.24	By balance c/d	2,82,00,000
		4,17,50,000			4,17,50,000
01.04.24	To balance b/d	2,82,00,000	31.03.25	By Depreciation A/c (W Note 3)	1,02,00,000
			31.03.25	By balance c/d	1,80,00,000
		2,82,00,000			2,82,00,000

Working Note:

1. Profit on settlement of Bus

Original cost as on 1.10.2021	50,00,000
Less: Depreciation for 2021 -22 (6 months)	5,00,000
	45,00,000
Less: Depreciation for 2022-23	10,00,000
	35,00,000
Less: Depreciation for 2023-24 (9 months)	7,50,000
	27,50,000
Less: Amount received from Insurance company	35,00,000
Profit on settlement of Bus	7,50,000

2. Calculation of WDV of 10 Buses as on 01.04.2023

	Amount
WDV of 1 truck as on 31.3.2023 (Refer W.N 1)	35,00,000
WDV of 10 Buses as on 01.04.23	3,50,00,000

3. Calculation for Depreciation for 2023-24 and 2024-25

	Amount
Depreciation for 2023-24	
On 9 Buses (₹ 50,00,000 x 9 x 20%)	90,00,000
On new Bus (₹ 60,00,000 x 1 x 20% x 3/12)	3,00,000
	93,00,000
Depreciation for 2024-25	
On 9 Bus (₹ 50,00,000 x 9 x 20%)	90,00,000
On new Bus (₹ 60,00,000 x 1 x 20%)	12,00,000
	1,02,00,000

8. **In the books of X**

Journal Entries

Particulars		L.F.	Dr. ₹	Cr. ₹
Y A/c			29,500	
To Sales A/c				25,000
To Output IGST A/c				4,500
(Being the inter-state sale of goods to Y, charged to IGST @ 18%)				
Bills Receivable (No. 1) A/c			15,000	
Bills Receivable (No. 2) A/c			14,500	
To Y A/c				29,500
(Being the two bills acceptance- one for ₹ 15,000 and the other for ₹ 14,500 received)				
Bills sent for collection A/c	Dr.		29,500	
To Bills Receivable (No.1) A/c				15,000
To Bills Receivable (No.2) A/c				14,500
(Being the Bills sent to bank for collection)				
Bank A/c	Dr.		15,000	
To Bills sent for collection A/c				15,000
(Being the bill cancelled up due to Y's inability to pay it)				
Y A/c	Dr.		15,000	
To Bills sent for collection A/C				14,500
To Bank A/c				500
(Being the second bill dishonored and bank paid ₹500 as noting charges)				

9. **M/s Gupta & Associates**

Trading Account for the year ended 31st March 2025

Particulars	Details	Amount	Particulars	Details	Amount
		₹			₹
To Opening Stock		3,20,000	By Sales	15,00,000	

To Purchases	12,00,000		Less: Sales Returns	(24,000)	14,76,000
Less: Purchase Returns	(18,000)	11,82,000	By Closing Stock		4,10,000
To Freight Inwards		62,000			
To Gross Profit c/d		3,22,000			
		18,86,000			18,86,000

M/s Gupta & Associates

Profit and Loss Account for the year ended 31st March 2025

Particulars	Details	Amount	Particulars	Details	Amount
		₹			₹
To Salaries		72,000	By Gross profit b/d		3,22,000
To Rent for Godown	55,000				
Add: Outstanding	5,000	60,000	By Discount received		12,000
To Provision for Doubtful Debts (W.N.4)		16,200			
To Rent and Taxes		24,000			
To Discount Allowed		7,500			
To Carriage outwards		8,500			
To Printing and stationery		6,000			
To Electricity charges		14,000			
To Insurance premium (W.N. 1)		4,800			
To Depreciation (W.N. 2)		80,000			
To General expenses		11,000			
To Bank Charges		3,800			
To Interest on loan	4,400				
Add: Outstanding (W.N. 3)	100	4,500			
To Motor car expenses (Repairs)		13,000			

To Net Profit transferred to Capital A/c		8,700 3,34,000			3,34,000

Balance Sheet of M/s Gupta & Associates

as at 31st March 2025

Liabilities	Details	Amount	Assets	Details	Amount
		₹			₹
Capital	14,11,400		Land & Building	5,00,000	
Add: Net Profit	8,700		Less: Depreciation	(25,000)	4,75,000
Less: Drawings	(20,000)		Motor Vehicles	1,00,000	
Less: proprietor's Insurance Premium	(42,000)	13,58,100	Less: Depreciation	(20,000)	80,000
Loan from Rajan	60,000		Office equipment	2,00,000	
Add: Outstanding Interest	100	60,100	Less: Depreciation	(30,000)	1,70,000
Sundry Creditors		62,000	Furniture & Fixture	50,000	
Outstanding rent		5,000	Less: Depreciation	(5,000)	45,000
			Stock in Trade		4,10,000
			Sundry Debtors	2,80,000	
			Less: Provision for doubtful debts	(14,000)	2,66,000
			Cash at hand		22,000
			Cash in bank		16,000
			Prepaid insurance (W.N. 1)		1,200
		14,85,200			14,85,200

Working Notes:

(1) Insurance premium

	₹
Insurance premium as given in trial balance	48,000
Less: Personal premium	(42,000)

Less: Prepaid for 3 months

$\left(\frac{6,000}{15} \times 3\right)$ (1,200)

Transfer to Profit and Loss A/c 4,800

(2) Depreciation

Building @ 5% on 5,00,000	25,000
Motor Vehicles @ 20% on 1,00,000	20,000
Furniture & Fittings @ 10% on 50,000	5,000
Office Equipment @ 15% on 2,00,000	30,000
Total	80,000

(3) Interest on Loan

Interest on Loan ₹ 60,000 X 10% X 9/12	= 4,500
Less: interest as per Trial Balance	= (4,400)
Amount (Outstanding)	100

(4) Provision for bad debts A/c

Particulars	Amount (₹)		Amount (₹)
To bad debts A/c	12,200	By balance b/d	10,000
To balance c/d (5% of 2,80,000)	14,000	By P&L A/c	16,200
	26,200		26,200

10. Income and Expenditure Account

Expenditure		₹	Income	₹
To Salaries		14,000	By Subscriptions (1,000 × 50)	50,000
To Sports Materials	15,000		By Interest on 10% Investments	20,000
Add: Opening Stock	4,500			
	19,500	15,500	By Sale of old newspapers	2,500
Less: Closing stock	4,000			

To Printing and Stationery	12,000			
Less: Creditors in the beginning	(2,500)	9,500		
To Honorarium		5,000		
To Magazines and Journals		10,000		
To Depreciation on Books (20,000 + 35,000 - 46,000)		9,000		
To Municipal Taxes	6,000			
Add: Prepaid in previous year (6,000×3/12)	1,500			
	7,500			
Less: Prepaid for next year	1,500	6,000		
To Excess of Income over Expenditure (Surplus)		3,500		
		72,500		72,500

Balance Sheet as at 31st December, 2025

Liabilities		₹	**Assets**		₹
Capital Fund (W.N. 1)	3,68,000		Building		1,25,000
Add: Surplus	3,500		Furniture	10,000	
	3,71,500		Additions during the year	15,000	
Add: Life Membership Fees	35,000			25,000	
Add: Entrance Fees	10,000	4,16,500	Less: Sold	(5,000)	20,000
Donation for Building Fund		45,000	Books		46,000
Donation for Billiards Table		50,000	Stock of Sports Materials		4,000
Donations		15,000	Billiards Table		50,000
Match Fund	40,000		10% Investment		2,00,000
Less: Match Expenses	(28,000)		Prepaid Municipal Taxes (6,000 x 3/12)		1,500
		12,000			
Subscription in Advance (15x ₹ 50)		750	Subscriptions Outstanding (WN 2)		12,750
			Cash in Hand		80,000
		5,39,250			5,39,250

Working Notes:

1. Calculation of Capital Fund as on 1st January,2025

Balance Sheet as at January 1, 2025

Liabilities	₹	Assets	₹
Capital Fund (balancing figure)	3,68,000	Building	1,25,000
		Furniture	10,000
Creditors for Printing and Stationery	2,500	Books	20,000
		10% Investments	2,00,000
Subscriptions in Advance (20 x ₹ 50)	1,000	Stock of Sports Materials	4,500
		Subscriptions Due	3,000
		Prepaid Municipal Taxes	1,500
		Cash in Hand	7,500
	3,71,500		3,71,500

2. Calculation of Subscriptions Outstanding

Subscription Account

Particulars	₹	Particulars	₹
To Subscriptions Due A/c (in the beginning)	3,000	By Subscriptions received in Advance A/c (20×50) (2024)	1,000
To Income and Expenditure A/c (1,000× ₹ 50)	50,000	By Cash A/c	40,000
To Subscriptions in Advance (15× ₹ 50) (2025)	750	By Subscriptions Outstanding (2025)	12,750
	53,750		53,750

11. Trading and Profit and Loss Account of Deep Enterprises for the year ended 31st March, 2025.

Particulars	Amount (₹)	Particulars		Amount (₹)
To Opening Stock	4,57,500	By Sales		
To Purchases (W.N. 2)	62,98,500	Cash	55,35,000	
To Gross profit c/d	6,96,500	Credit (W.N. 1)	14,30,000	69,65,000
(10% of 69,65,000)		By Closing stock		4,87,500
	74,52,500			74,52,500
To Sundry expenses (W.N. 4)	4,59,375	By Gross profit b/d		6,96,500
To Discount allowed	27,000	By Discount received		21,250
To Depreciation (15% ₹ 75,000)	11,250			
To Net Profit (b.f.)	2,20,125			
	7,17,750			7,17,750

Balance Sheet of Deep Enterprises as at 31st March, 2025

Liabilities		Amount ₹	Assets		Amount ₹
Capital			Furniture & Fittings	75,000	
Opening balance	3,37,500		Less: Depreciation	(11,250)	63,750
Less: Drawing	(1,80,000)		Stock		4,87,500
	1,57,500		Trade Debtors		1,71,500
Add: Net profit for the years	2,20,125	3,77,625	Unexpired insurance		1,500
Trade creditors (W.N. 3)		4,14,500	Cash in hand & at bank		95,475
Outstanding expenses		27,600			
		8,19,725			8,19,725

Working Notes:

1. Trade Debtors Account

	₹		₹
To Balance b/d	1,56,000	By Cash/Bank	13,87,500
To Credit sales	14,30,000	By Discount allowed	27,000
(Bal. fig.)		By Balance c/d	1,71,500
	15,86,000		15,86,000

2. Memorandum Trading Account

	₹		₹
To Opening stock	4,57,500	By Sales	69,65,000
To Purchases (Balancing figure)	62,98,500	By Closing stock	4,87,500
To Gross Profit (10% on sales)	6,96,500		
	74,52,500		74,52,500

3. Trade Creditors Account

	₹		₹
To Cash/Bank	62,41,500	By Balance b/d	3,78,750
To Discount received	21,250	By Purchases (as calculated	62,98,500
To Balance c/d		in W.N. 2)	
(balancing figure)	4,14,500		
	66,77,250		66,77,250

4. Computation of sundry expenses to be charged to Profit & Loss A/c

	₹
Sundry expenses paid (as per cash and Bank book)	4,65,525
Add: Prepaid expenses as on 31–3–2024	1,500
	4,67,025

Less: Outstanding expenses as on 31–3–2024	(33,750)
	4,33,275
Add: Outstanding expenses as on 31–3–2025	27,600
	4,60,875
Less: Prepaid expenses as on 31–3–2025 (Insurance paid till July, 2024) (4,500 x 4/12)	(1,500)
	4,59,375

12. (i)

Valuation of Goodwill:		₹
(1)	Average Capital Employed	
	Total Assets less Trade payables as on 31.12.2024	18,75,000
	Add: 1/2 of the amount withdrawn by partners	2,25,000
		21,00,000
	Less: 1/2 of the profit earned in 2024	(3,00,000)
		18,00,000
(2)	Super Profit:	
	Profit of M/s Sita, Gita & Rita	6,00,000
	Normal profit @ 30% on ₹ 18,00,000	5,40,000
	Super Profit	60,000
(3)	Value of Goodwill	
	5 Years' Purchase of Super profit (₹ 60,000 × 5)	₹ 3,00,000

13. Rectification Entry:

		₹	₹
A's Capital A/c	Dr.	8,000	
B's Capital A/c	Dr.	8,000	
C's Capital A/c	Dr.	4,000	
To Sundry Creditors A/c			20,000

(Being the omission to record purchases, now rectified)

Dr. **Realisation Account** **Cr.**

Particulars	₹	Particulars	₹
To Fixed Assets	2,00,000	By Sundry Creditors A/c (1,25,000 +20,000)	1,45,000
To Stock	1,25,000		
To Debtors	1,25,000	By Mrs. A's Loan A/c	50,000
To Cash A/c (S. Creditors) [(1,25,000 + 20,000) × 98/100]	1,42,100	By Provision for Bad Debts A/c	25,000
To Cash A/c (R. Expenses)	5,400	By Cash A/c:	
		Fixed Assets 1,00,000	
		Stock 1,05,000	
		Debtors 1,02,500	3,07,500
To A's Capital A/c (Mrs. A's Loan)	50,000	By Capital Accounts: (Loss on Realisation)	
		A 48,000	
		B 48,000	
		C 24,000	1,20,000
	6,47,500		6,47,500

Dr. **Cash Account** **Cr.**

Particulars	₹	Particulars	₹
To Balance b/d	5,000	By Realisation A/c	1,42,100
To Realisation A/c	3,07,500	By Realisation A/c	5,400
To A's Capital A/c (Cash brought in by A)	48,000	By C's Capital A/c	25,000
To C's Capital A/c (Cash brought in by C)	24,000	By A's Capital A/c	1,71,500
		By C's Capital A/c	40,500
	3,84,500		3,84,500

Dr. **Partners' Capital Account** **Cr.**

Particulars	A (₹)	B (₹)	C (₹)	Particulars	A (₹)	B (₹)	C (₹)
To Sundry Creditors	8,000	8,000	4,000	By Balance b/d	1,46,000	54,000	50,000
To Balance c/d	1,38,000	46,000	46,000				
	1,46,000	54,000	50,000		1,46,000	54,000	50,000
To Advance to B A/c	-	20,000	-	By Realisation A/c (Mrs. A's Loan)	50,000	-	-
To Realisation Loss A/c	48,000	48,000	24,000	By Balance b/d	1,38,000	46,000	46,000
To B's Capital A/c	16,500	-	5,500	By Cash A/c	48,000	-	24,000
To Cash A/c (Final Payment)	1,71,500	-	40,500	By A's Capital A/c (WN)	-	16,500	-
				By C's Capital A /c (WN)	-	5,500	-
	2,36,000	68,000	70,000		2,36,000	68,000	70,000

Working Note (WN): Since B is insolvent, his deficiencies is to be borne by A & C in capital sharing ratio (after rectification) i.e.

A's Share $22,000 \times \frac{1,38,000}{1,84,000} = 16,500$

C's Share $22,000 \times \frac{46,000}{1,84,000} = 5,500$

14. **Journal of Greenrock Limited**

Date 2024	Particulars		Dr. ₹	Cr. ₹
July 1	Bank A/c (Note 1 – Column 3)	Dr.	16,80,000	
	To Equity Share Application A/c			16,80,000
	(Being application money received on 8,40,000 shares @ ₹ 2 per share)			

July 10	Equity Share Application A/c	Dr.	16,80,000	
	To Equity Share Capital A/c			5,20,000
	To Equity Share Allotment A/c (Note 1- Column 5)			8,00,000
	To Bank A/c (Note 1– Column 6)			3,60,000
	(Being application money on 2,60,000 shares transferred to Equity Share Capital Account; on 4,00,000 shares adjusted with allotment and on 1,80,000 shares refunded as per Board's Resolution No.....dated...)			
	Equity Share Allotment A/c	Dr.	13,00,000	
	To Equity Share Capital A/c			7,80,000
	To Securities Premium a/c			5,20,000
	(Being allotment money due on 2,60,000 shares @ ₹ 5 each including premium at ₹ 2 each as per Board's Resolution No....dated....)			
	Bank A/c (Note 1 – Column 8)	Dr.	5,00,000	
	To Equity Share Allotment A/c			5,00,000
	(Being balance allotment money received)			
	Equity Share Final Call A/c	Dr.	13,00,000	
	To Equity Share Capital A/c			13,00,000
	(Being final call money due on 2,60,000 shares @ ₹ 5 per share as per Board's Resolution No....dated....)			

March 31st	Bank A/c To Equity Share Final Call A/c (Being final call money on 2,60,000 shares @ ₹ 5 each received)	Dr.	13,00,000	 13,00,000

Working Note:

Calculation for Adjustment and Refund

Category	No. of Shares Applied for	No. of Shares Allotted	Amount Received on Application (1x ₹ 2)	Amount Required on Application (2 x ₹ 2)	Amount adjusted on Allotment	Refund [3-4-5]	Amount due on Allotment	Amount received on Allotment
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
(i)	40,000	40,000	80,000	80,000	Nil	Nil	2,00,000	2,00,000
(ii)	2,00,000	1,00,000	4,00,000	2,00,000	2,00,000	Nil	5,00,000	3,00,000
(iii)	6,00,000	1,20,000	12,00,000	2,40,000	6,00,000	3,60,000	6,00,000	Nil
TOTAL	**8,40,000**	**2,60,000**	**16,80,000**	**5,20,000**	**8,00,000**	**3,60,000**	**13,00,000**	**5,00,000**

15. (i) Journal Entries in the books of Windy Whale Ltd.

Date			Dr. ₹	Cr. ₹
(a)	Equity Share Capital A/c	Dr.	9,000	
	To Equity Share Allotment money A/c (900 x ₹ 3)			2,700
	To Equity Share Final Call A/c (900 x ₹ 4)			3,600
	To Forfeited Shares A/c (900 x ₹ 3)			2,700
	(Being the forfeiture of 900 equity shares of ₹ 10 each for non-payment of allotment money and final call, held by Varun as per Board's resolution No.....dated.....)			

(b)	Bank A/c (900 x 8)	Dr.	7,200	
	Forfeited Shares A/c (900x 2)	Dr.	1,800	
	To Equity Share Capital A/c			9,000
	(Being the re-issue of 900 forfeited shares @ ₹ 8 each as fully paid up to Nitesh as per Board's resolution No.....dated.....)			
(c)	Forfeited Shares A/c	Dr.	900	
	To Capital Reserve A/c			900
	(Being the profit on re-issue, transferred to capital reserve)			

(ii) Journal Entries in the Books of A ltd.

Date	Particulars		Dr. ₹	Cr. ₹
(a)	Equity Share Capital A/c (200 x ₹ 7)	Dr.	1,400	
	To Equity Share First Call A/c (200 x ₹ 2)			400
	To Forfeited Shares A/c (200 x ₹ 5)			1,000
	(Being the forfeiture of 200 equity shares of ₹ 10/- (₹7 called up) for non-payment of first call @ ₹ 2/- per share as per Board Resolution No..... dated.....)			
(b)	Bank A/c	Dr.	900	
	Forfeited Shares A/c	Dr.	600	
	To Equity Share Capital A/c			1,500
	(Being the re-issue of 150 forfeited shares as fully paid up as per Board's resolution No.....dated.....)			

(c)	Forfeited Shares A/c To Capital Reserve A/c (Being the profit on re-issue, transferred to capital reserve)	Dr.	150	150

Working Note:

Balance in forfeited shares account on forfeiture of 150 shares (150 x 5)	₹ 750
Less: Forfeiture of 150 shares	(₹ 600)
Profit on re-issue of shares	₹ 150

16. Calculation of number of equity shares to be allotted

	Number of debentures
Total number of debentures	80,000
Less: Debenture holders not opted for conversion	(10,000)
Debenture holders opted for conversion	70,000
Option for conversion	20%
Number of debentures to be converted (20% of 70,000)	14,000

Redemption value of 14,000 debentures at a premium of 5% [14,000 x (100+5)]	₹ 14,70,000
Equity shares of ₹ 10 each issued to debenture holders on redemption	
[₹ 14,70,000/ ₹ 15]	98,000 shares
Amount of cash to be paid	
Amount to be paid into cash [84,00,000 (80,000 x ₹ 105) – 14,70,000] on redemption	₹ 69,30,000

17. Journal Entries In the books of Silver Stone Ltd.

		Amount (₹)	Amount (₹)
10% Preference Share Final Call A/c	Dr.	40,00,000	
To 10% Preference Share Capital A/c			40,00,000
(Being final call made on preference shares @ ₹ 25 each to make them fully paid up)			
Bank A/c	Dr.	40,00,000	
To 10% Preference Share Final Call A/c			40,00,000
(Being receipt of final call money on preference shares)			
Bank A/c	Dr.	30,00,000	
To Equity Share Application A/c			30,00,000
(Being receipt of application money on 1,20,000 equity shares @ ₹ 25 per share)			
Equity Share Application A/c	Dr.	30,00,000	
To Equity Share Capital A/c			30,00,000
(Being capitalisation of application money received)			
Equity Share Allotment A/c	Dr.	54,00,000	
To Equity Share Capital A/c			42,00,000
To Securities Premium A/c			12,00,000
(Being allotment money due on 1,20,000 equity shares @ ₹ 45 per share including a premium of ₹ 10 per share)			
Bank A/c	Dr.	54,00,000	
To Equity Share Allotment A/c			54,00,000
(Being receipt of allotment money on equity shares)			

General Reserve A/c To Capital Redemption Reserve A/c (Being transfer of CRR the amount not covered by the proceeds of fresh issue of equity shares i.e., 1,60,00,000 - 30,00,000 – 42,00,000)	Dr.	88,00,000	 88,00,000
10% Preference Share Capital A/c Premium on Redemption of Preference Shares A/c To Preference Shareholders A/c (Being amount payable to preference shareholders on redemption at 5% premium)	Dr. Dr.	1,60,00,000 8,00,000	 1,68,00,000
Preference Shareholders A/c To Bank A/c (Being amount paid to preference shareholders)	Dr.	1,68,00,000	 1,68,00,000
General Reserve A/c To Premium on Redemption of Preference shares A/c (Being writing off premium on redemption of preference shares)	Dr.	8,00,000	 8,00,000

Notes to Accounts:

			₹
1	**Share <u>Capital:</u>** Equity Share Capital Issued, Subscribed & Paid Up: 4,00,000 Equity Shares of ₹ 100 each fully paid up 1,20,000 Equity Shares of ₹ 100 each, ₹ 60 called up & paid up	 4,00,00,000 <u>72,00,000</u>	 4,72,00,000

2	**Reserves and Surplus:**		
	Securities Premium	13,00,000	
	Add: Amount received @ - 10 per share on 1,20,000 Equity Shares	12,00,000	25,00,000
	Capital Redemption Reserve	84,00,000	
	Add: Transferred on Redemption (WN-1)	88,00,000	1,72,00,000
	General Reserve	1,70,00,000	
	Less: Transferred to Capital Redemption Reserve	(88,00,000)	
	Less: Adjustment of Premium payable on Redemption	(8,00,000)	74,00,000
			2,71,00,000

Working Note 1

Amount to be transferred to Capital Redemption Reserve on Redemption:

Nominal Value of 1,60,000 Preference Shares Redeemed	1,60,00,000
Less: Proceeds of 1,20,000 Equity Shares issued, - 60 called up & paid up	72,00,000
Transfer to Capital Redemption Reserve	88,00,000

Note: At the time of redemption of preference shares out of accumulated divisible profits, it is necessary to transfer to the Capital Redemption Reserve Account an amount equal to the amount repaid on the redemption of preference shares on account of face value less proceeds of a fresh issue of shares made for the purpose of redemption.

18. (i) Rules regarding posting of entries into ledger

1. Separate account is opened in ledger book for each account and entries from journal are posted to respective account accordingly.
2. It is a practice to use words 'To' and 'By' while posting transactions in the ledger.
3. The concerned account debited in the journal should also be debited in the ledger but reference should be of the respective credit account.

(ii) Banks are essential to modern society, but for an industrial unit, it serves as a necessary instrument in the commercial world. Most of the transactions of the business are done through bank whether it is a receipt or payment. Rather, it is legally necessary to operate the transactions through bank after a certain limit. All the transactions, which have been operated through bank, if not verified properly, the industrial unit may not be sure about its liquidity position in the bank on a particular date. There may be some cheques which have been issued, but not presented for payment, as well as there may be some deposits which has been deposited in the bank, but not collected or credited so far. Some expenses might have been debited or bills might have been dishonoured. It is not known to the industrial unit in time, it may lead to wrong conclusions. The errors committed by bank may not be known without preparing bank reconciliation statement. Preparation of bank reconciliation statement prevents the chances of embezzlement. Hence, bank reconciliation statement is very important and is a necessity of an industrial unit as it plays a key role in the liquidity control of the industry.

(iii)

	Periodic Inventory System	**Perpetual Inventory System**
1.	This system is based on physical verification.	It is based on book records.

2.	This system provides information about inventory and cost of goods sold at a particular date	It provides continuous information about inventory and cost of sales.
3.	This system determines inventory and takes cost of goods sold as residual figure.	It directly determines cost of goods sold and computes inventory as balancing figure.
4.	Cost of goods sold includes loss of goods as goods not in inventory are assumed to be sold.	Closing inventory includes loss of goods as all unsold goods are assumed to be in Inventory
5.	Under this method, inventory control is not possible.	Inventory control can be exercised under this system.
6.	This system is simple and less expensive.	It is costlier method.
7.	Periodic system requires closure of business for counting of inventory.	Inventory can be determined without affecting the operations of the business.

(iv) Distinction between Trade bill and Accommodation bill

(a) Trade bills are usually drawn to facilitate trade transmission, that is, these bills are meant to finance actual purchase and sale of goods. On the other hand, an accommodation bill is one which is drawn, accepted or endorsed for the purpose of arranging financial accommodation for one or more interested parties.

(b) On discount of a trade bill, full amount is retained by the drawer. In an accommodation bill however, the amount may be shared by the drawer and the drawee in an agreed ratio.

(c) Trade bill is drawn for some consideration while accommodation bill is drawn and accepted without any consideration.

(d) Trade bill acts as an evidence of indebtedness while accommodation bill acts as a source of finance.

(e) In order to recover the debt, the drawer can initiate legal action on a trade bill. In accommodation bill, legal remedy for the recovery of amount may not be available for immediate parties.

(v) Contingent Asset

An asset the existence, ownership or value of which may be known or determined only on the occurrence or non-occurrence of one or more uncertain future events.

Contingent Liability

An obligation relating to an existing condition or situation which may arise in future depending on the occurrence or non-occurrence of one or more uncertain future events.

PAPER – 2:
BUSINESS LAWS



QUESTIONS

Indian Regulatory Framework

1. Describe the major functions of the Reserve Bank of India (RBI) in regulating the Indian economy. How does it manage currency, payment systems and economic development?

The Indian Contract Act, 1872

2. Mr. Naman is an auctioneer. He advertised in a leading newspaper that an auction would be held on 17th April, 2025, in Agra for the sale of some office furniture. Mr. Kanha read the advertisement and travelled about 500 kilometres to attend the auction. When he reached the place of the auction, he found that the furniture had been withdrawn from the sale. Mr. Kanha sued Mr. Naman for the loss of his time and expenses.

   State, with reasons, whether Mr. Kanha can claim compensation from Mr. Naman under the provisions of the Indian Contract Act, 1872.

3. Abhimanyu, a businessman, lost his important documents at a crowded railway station. Ramesh, a passerby, voluntarily collected the documents and returned them safely to Abhimanyu without expecting any reward. A week later, impressed by Ramesh's honesty, Abhimanyu wrote and signed a promise to pay him ₹50,000 as a reward. Later, Abhimanyu refused to pay, arguing that the act had already been performed voluntarily and therefore did not constitute valid consideration. Ramesh filed a case claiming that the promise was binding. Decide, under the Indian Contract Act, 1872, whether Abhimanyu is liable to pay.

4. Vikas, a businessman from Delhi, entered into an agreement with Reddy, a trader from Hyderabad, to smuggle a large consignment of gold into India in violation of customs laws. As per the terms, Reddy would arrange the smuggling operation, while Vikas promised to provide financial support and safe storage facilities. Both agreed to share the profits equally. The agreement also stated that Reddy would invest a portion of his profit in Vikas's legitimate textile business, which was a lawful activity.

   After the first successful operation, a dispute arose between the parties. Vikas received the smuggled gold but refused to share the profits, arguing that the agreement was unlawful. Reddy filed a suit for enforcement, claiming that at least the lawful portion of the agreement relating to the textile business should be upheld. Decide whether the agreement is enforceable under the Indian Contract Act, 1872?

5. Mr. Lal, a well-known builder, entered into a contract with Mr. Kumar, a property developer, to construct a large shopping mall in Jaipur for a total consideration of ₹ 10 crores, to be completed within 18 months. After the work began, both parties mutually decided to alter the nature of their agreement. By mutual consent, a new contract was substituted, under which Mr. Lal would instead construct a five-star luxury hotel on the same land for an increased price of ₹12 crores. This new agreement expressly cancelled the earlier mall contract.

   However, six months after the new agreement was executed, the State Government, under its Urban Development Policy, passed a law prohibiting the construction of hotels in that particular commercial zone, though the construction of shopping malls was still permitted. Due to this prohibition, Mr. Lal stopped the construction work and informed Mr. Kumar that the contract had become impossible to perform. Mr. Kumar, however, filed a suit against Mr. Lal for breach of the new contract, demanding damages on the ground that Mr. Lal had failed to perform his obligation.

   Decide, under the provisions of the Indian Contract Act, 1872, whether Mr. Lal is liable for breach of contract or whether the contract has become void due to impossibility.

6. Mr. Ramesh delivered his gold ornaments to a jeweller, Mr. Arun, for polishing. Arun kept the ornaments in the locker of his shop and locked the premises before leaving. Unfortunately, during the night, some thieves broke into the shop and stole the ornaments. When Ramesh asked for the return of his ornaments, Arun expressed his inability and stated that he had taken as much care of the goods as he would have taken of his own property. Ramesh, however, claimed compensation for the loss on the ground that the ornaments were delivered under a contract of bailment and that the bailee was bound to return them.

   Decide, under the provisions of the Indian Contract Act, 1872, whether Arun is liable to compensate Ramesh.

7. Discuss in detail the rules governing the enforcement of contingent contracts under the Indian Contract Act, 1872.

8. "An agency may be terminated by act of parties or by operation of law." Explain this statement and discuss the circumstances under which an agency stands terminated.

9. Discuss the essential conditions that must be fulfilled for a valid contract of guarantee under the Indian Contract Act, 1872.

The Sale of Goods Act, 1930

10. Classify the following transactions according to the types of goods they are:

   (i) A wholesaler of cotton has 100 bales in his godown. He agrees to sell 50 bales and these bales were selected and set aside.

   (ii) A agrees to sell to B one packet of sugar out of the lot of one hundred packets lying in his shop.

   (iii) T agrees to sell to S all the apples which will be produced in his garden this year.

11. Mr. Rahul, a wholesale trader in Delhi, placed an order with Mr. Kapil, a textile merchant, for 50 rolls of "premium silk cloth" at an agreed price. It was clearly mentioned that the cloth should be of premium-quality silk and suitable for manufacturing wedding garments. Mr. Kapil delivered the goods on the scheduled date. On a casual examination at the time of delivery, the rolls appeared to be fine, so Rahul accepted them.

However, later, while cutting and using the cloth for tailoring, it was discovered that the rolls contained a mixture of synthetic fibers and had hidden defects such as small holes and stains. These defects made the cloth unfit for making wedding garments, causing heavy losses to Rahul. When Rahul demanded a refund, Kapil refused, contending that Rahul had already inspected the goods and accepted delivery.

State, with reasons, whether Rahul can reject the goods and recover the price under the Sale of Goods Act, 1930.

12. Mr. Varun, a laptop distributor, delivered 20 laptops to his friend Mr. Rohit on the condition of "sale on approval or return within 10 days." Rohit neither returned the laptops within the stipulated period nor informed Varun of any rejection. Instead, he kept the laptops in his office showroom and sold 5 of them to Mr. Anuj, claiming to be the absolute owner. Anuj purchased the laptops in good faith, paid full consideration, and even issued a receipt.

After 15 days, Varun demanded the return of all the laptops, including those sold to Anuj. Rohit refused, arguing that he had acted as the owner. Anuj also defended himself, claiming that he was a bona fide purchaser for value. Varun, however, relied on the principle that "no one can transfer a better title than he himself has."

Decide, under the Sale of Goods Act, 1930, whether Anuj has acquired a valid title and whether Varun can recover the goods.

13. Discuss the rights of the buyer against the seller when the seller commits a breach of contract under the Sale of Goods Act, 1930.

14. Explain the rule relating to the passing of property in specific or ascertained goods under Section 19 of the Sale of Goods Act, 1930. How is the intention of the parties as to the passing of property ascertained?

The Indian Partnership Act, 1932

15. Mr. Arun and Mr. Varun are brothers employed in a private company in Delhi. Out of their joint savings, they purchased a plot of land in Noida and constructed five commercial shops on it. These shops were later rented out to different tenants. It was mutually agreed that both would

equally share the monthly rent received. They also decided to contribute jointly towards property tax and repair expenses.

In March 2025, one tenant defaulted in paying rent of ₹50,000. Varun claimed the entire arrears from Arun, stating that both were "partners" in the property business and, hence, Arun, being one of the partners, was liable for the whole amount. Arun, however, refused and argued that they were not partners but only co-owners; therefore, he was not liable to pay Varun's share of the defaulted rent.

Decide, with reasons, whether Arun and Varun can be regarded as partners under the Indian Partnership Act, 1932.

16. M, N, and O were partners in a firm engaged in the transport business. Over time, N became mentally unsound and was incapable of managing the firm's affairs. O alleged that M was continuously guilty of misconduct and was misappropriating the firm's funds. Due to repeated disputes and loss of trust, O filed a petition in Court seeking dissolution of the firm. After the court ordered dissolution, M claimed that he still had the right to use the firm's trucks and vehicles for his personal business. Explain whether contention of M is correct.

17. Explain the rights of a transferee of a partner's interest under the Indian Partnership Act, 1932. How do these rights differ from those of an original partner?

The Limited Liability Partnership Act, 2008

18. Explain the provisions relating to the change of name of a Limited Liability Partnership (LLP) under the LLP Act, 2008.

The Companies Act, 2013

19. Sunrise Infrastructure Ltd. was incorporated with the object of developing residential housing projects as specified in its Memorandum of Association. The Board of Directors decided to invest a substantial part of the company's funds in speculative trading of shares of other companies, hoping to earn quick profits. When the shareholders questioned this act, the directors argued that since the company was duly incorporated and had wide powers of management, their decision

was valid. Examine, with reference to the doctrine of ultra vires, whether the directors' action is binding on the company.

20. Bharat Infrastructure Ltd. was incorporated in India with 55% of its paid-up share capital held by the Central Government, 20% by a State Government, and the remaining 25% by private investors. Some private shareholders argued that government control was not absolute and therefore the company should not be classified as a Government Company. Decide with reference to the Companies Act, 2013.

21. Can a non-profit organization be registered as a company under the Companies Act, 2013? If so, what procedure does it have to adopt?

The Negotiable Instruments Act, 1881

22. Mr. Anil drew a bill of exchange in Kolkata on Mr. Bimal, a resident of New York, and made it payable in Delhi. On maturity, the bill was dishonoured, and Anil sued Bimal in India claiming interest at the rate of 18% as applicable in Kolkata. Bimal contended that his liability was governed by New York law, where the rate of interest was only 6%. Decide the liability of Bimal with reference to the provisions of the Negotiable Instruments Act, 1881.

23. Define the following Instruments under the Negotiable Instruments Act, 1881:

    (i) Bearer Instruments

    (ii) Order Instruments

    (iii) Inland Instruments

    (iv) Foreign Instruments

SUGGESTED ANSWERS/HINTS

1. Reserve Bank of India:

(i) It is India's Central Bank and regulatory body responsible for regulation of the Indian banking system.

(ii) It is under the ownership of Ministry of Finance, Government of India.

(iii) It is responsible for the control, issue and maintaining supply of the Indian rupee.

(iv) It also manages the country's main payment systems and works to promote its economic development.

(v) Bharatiya Reserve Bank Note Mudran (BRBNM) is a specialised division of RBI through which it prints and mints Indian currency notes (INR) in two of its currency printing presses located in Nashik (Western India) and Dewas (Central India).

(vi) RBI established the National Payments Corporation of India as one of its specialised division to regulate the payment and settlement systems in India.

(vii) Deposit Insurance and Credit Guarantee Corporation was established by RBI as one of its specialised division for the purpose of providing insurance of deposits and guaranteeing of credit facilities to all Indian banks.

2. According to the Indian Contract Act, 1872, an invitation to offer is different from offer. Quotation catalogues, advertisements in newspaper for sale are not offer. These are invitations to public to make an offer. Bidding in an auction is also an invitation to offer. When goods are sold through auction, the auctioneer does not contract with anyone who attends the sale. It was decided in case of *Harris vs. Nickerson* that the advertisement auction was merely a declaration to inform potential purchasers that the sale was taking place. It was not an offer to contract with anyone.

In the instant case, Mr. Naman advertised for sale of some office furniture in an auction on 17th April, 2025 in Agra for sale of some office furniture. Mr. Kanha read the advertisement and travelled about 500 kilometres to attend the auction, but he found that furniture was withdrawn from the sale. Mr. Kanha sued against Mr. Naman for loss of his time and expenses.

On the basis of above provisions and facts, advertisement of auction by Mr. Naman is not an offer but merely an invitation to offer. He is not liable to Mr. Kanha. Hence, Mr. Kanha could not succeed in his suit.

3. Section 2(d) of the Indian Contract Act, 1872 defines consideration as an act or abstinence done at the desire of the promisor, which has already been done, is being done, or is promised to be done by the promisee or any other person.

Section 25(2) specifically provides that a promise made in writing and signed by the promisor to compensate a person who has voluntarily done something for the promisor is enforceable, even without fresh consideration. Thus, although the original act was voluntary, once a subsequent written promise is made, it becomes binding.

In the present case, Ramesh voluntarily returned Abhimanyu's lost documents. At that time, no enforceable contract existed because the act was not done at Abhimanyu's request. Subsequently, Abhimanyu made a written promise to pay ₹50,000 to Ramesh as a token of appreciation. Later, Abhimanyu refused to fulfil his promise.

Here, the promise made by Abhimanyu in writing to compensate Ramesh for past voluntary services is valid and enforceable. Therefore, Ramesh is entitled to receive ₹50,000 and Abhimanyu is legally bound to pay.

4. Section 23 of the Indian Contract Act, 1872 provides that the consideration or object of an agreement is unlawful if it is (a) forbidden by law, (b) defeats the provisions of any law, (c) fraudulent, (d) involves injury to person or property, (e) immoral, or (f) opposed to public policy. Any agreement with such an object is void.

Smuggling of gold is expressly prohibited by Customs Law in India and is a criminal offence. Therefore, any contract to undertake smuggling is not only unlawful but also opposed to public policy, since Courts will not enforce agreements that encourage illegal trade.

Section 24 further provides that if any part of a single consideration or object is unlawful, the entire agreement is void. Only when the lawful and unlawful parts can be separated may the lawful portion be enforced. If the two are inseparable, the entire contract fails.

In this case, the main object of the agreement between Mr. Vikas and Reddy was to smuggle gold, which is forbidden by law and opposed to public policy. This makes the primary agreement void. Even though the

agreement also included a clause that profits from smuggling would later be invested in Mr. Vikas's legal textile business, the lawful part is not separable from the unlawful part because the investment depended entirely on the profits derived from the illegal act.

Hence, the agreement between Mr. Vikas and Reddy is void under Sections 23 and 24 of the Indian Contract Act, 1872. The object of the contract (smuggling) is forbidden by law and opposed to public policy, and the lawful portion (investment in textiles) cannot be separated from the unlawful part. Therefore, Reddy cannot enforce either the smuggling profits or the investment clause. In law, no rights or obligations can arise out of an unlawful agreement.

5. According to section 62 of the Indian Contract Act 1872, if the parties to a contract agree to substitute a new contract in place of the old one, or to rescind or alter it, the original contract need not be performed.

Section 56 provides that an agreement to do an act which is impossible in itself is void. Further, if a contract was possible when it was made, but becomes impossible or unlawful after formation due to some event beyond the control of parties, it becomes void.

However, mere commercial hardship or rise in cost is not impossibility. Impossibility applies only when the performance has become absolutely impracticable or unlawful.

In the instant case, at first, Mr. Lal agreed to construct a shopping mall for ₹10 crores within 18 months. Subsequently, both Lal and Kumar, by mutual consent, substituted the original agreement with a new one, under which Lal was required to construct a luxury hotel for ₹12 crores. By this substitution, the earlier mall contract stood discharged. During the continuation of the new contract, the State Government imposed a legal prohibition on the construction of hotels in that particular zone, which directly affected the subject matter of the agreement.

Here, the first contract for the construction of a mall was discharged by novation under Section 62, since a new contract was formed with mutual consent. Therefore, the mall contract no longer remained enforceable.

As regards the substituted contract for construction of the hotel, a subsequent change in Law by the government prohibited hotel

construction in that area. This made performance of the hotel contract unlawful and impossible. Under Section 56, the contract therefore became void due to supervening impossibility.

Hence, Mr. Lal is not guilty of breach of contract because non-performance resulted from an event beyond his control. Mr. Kumar cannot claim damages as the contract stood discharged by impossibility. Both parties are therefore relieved from their respective obligations.

6. According to Section 148 of the Indian Contract Act, 1872, bailment is the delivery of goods from one person to another for a specific purpose, upon a contract that the goods shall be returned once the purpose is completed.

Section 151 provides that the bailee is bound to take as much care of the goods bailed as a man of ordinary prudence would take of his own goods.

Further, Section 152 states that if the bailee has taken such reasonable care, he is not responsible for loss, destruction or deterioration of the goods.

In the instant case, Ramesh entrusted his ornaments to Arun, a jeweller, for polishing. Arun locked them securely in his shop's locker. However, a theft occurred at night, and the ornaments were stolen despite the precautions taken. Ramesh demanded compensation, but Arun refused, claiming that he had exercised ordinary care.

Hence, it is clear that Arun has taken reasonable precautions by locking the ornaments in the locker and securing the shop. The theft was beyond his control and does not amount to negligence. Therefore, Arun cannot be held liable to compensate Ramesh for the stolen ornaments.

7. Rules relating to Enforcement

The rules relating to enforcement of a contingent contract are laid down in sections 32, 33, 34, 35 and 36 of the Indian Contract Act, 1872.

(a) Enforcement of contracts contingent on an event happening: Section 32 says that "where a contingent contract is made to do or not to do anything if an uncertain future event happens, it cannot

be enforced by law unless and until that event has happened. If the event becomes impossible, such contracts become void".

(b) **Enforcement of contracts contingent on an event not happening:** Section 33 says that "Where a contingent contract is made to do or not do anything if an uncertain future event does not happen, it can be enforced only when the happening of that event becomes impossible and not before".

(c) **A contract would cease to be enforceable if it is contingent upon the conduct of a living person when that living person does something to make the 'event' or 'conduct' as impossible of happening:** Section 34 says that "if a contract is contingent upon as to how a person will act at an unspecified time, the event shall be considered to have become impossible when such person does anything which renders it impossible that he should so act within any definite time or otherwise than under further contingencies".

(d) **Contingent on happening of specified event within the fixed time:** Section 35 says that Contingent contracts to do or not to do anything, if a specified uncertain event happens within a fixed time, becomes void if, at the expiration of time fixed, such event has not happened, or if, before the time fixed, such event becomes impossible.

(e) **Contingent on specified event not happening within fixed time:** Section 35 also says that - "Contingent contracts to do or not to do anything, if a specified uncertain event does not happen within a fixed time, may be enforced by law when the time fixed has expired, and such event has not happened or before the time fixed has expired, if it becomes certain that such event will not happen".

(f) **Contingent on an impossible event (Section 36):** Contingent agreements to do or not to do anything, if an impossible event happens are void, whether the impossibility of the event is known or not to the parties to the agreement at the time when it is made.

8. **Termination of agency [Section 201 of the Indian Contract Act, 1872]:** Termination of agency means putting an end to the legal relationship between principal and agent. Section 201 provides for the following modes of termination:

(a) **Revocation:** An agency may be terminated by the principal revoking the authority of the agent. Principal may revoke the authority given to his agent at any time before the authority has been exercised so as to bind the principal [Section 203]. However, the principal cannot revoke the authority given to his agent after the authority has been partly exercised so far as regards such acts and obligations as arise for acts already done in the agency. [Section 204]

Compensation for revocation by principal [Section 205]: If there is premature revocation of agency without sufficient cause, the principal must compensate the agent, for such revocation.

Notice of revocation [Section 206]: When the principal, having justification to do so, revokes the authority, he must give reasonable notice of such revocation to the agent, otherwise, he can be liable to pay compensation for any damage caused to the agent (Section 206).

Revocation and renunciation may be expressed or implied [Section 207]: Revocation of agency may be expressed or implied in the conduct of the principal.

(b) **Renunciation by agent [Section 206]:** An agent may renounce the business of agency in the same manner in which the principal has the right of revocation. In the first place, if the agency is for a fixed period, the agent would have to compensate the principal for any premature renunciation without sufficient cause. [Section 205] Secondly, a reasonable notice of renunciation is necessary. Length of notice (time period of notice) is to be determined by the same principles which apply to revocation by the principal. If the agent renounces without proper notice, he shall have to make good any damage thereby resulting to the principal. [Section 206]

(c) **Completion of business:** An agency is automatically and by operation of law terminated when its business is completed. Thus, for

example, the authority of an agent appointed to sell goods ceases to be exercisable when the sale is completed.

(d) **Death or insanity:** An agency is determined automatically on the death or insanity of the principal or the agent. Winding up of a company or dissolution of partnership has the same effect. Act done by agent before death would remain binding.

(e) **Principal's insolvency:** An agency ends on the principal being adjudicated insolvent.

(f) **On expiry of time:** Where an agent has been appointed for a fixed term, the expiration of the term puts an end to the agency, whether the purpose of agency has been accomplished or not. An agency comes to an automatic end on expiry of its term.

9. Essential features of a Guarantee

The following are the requisites of a valid guarantee:-

1. **Purpose:** The purpose of a guarantee being to secure the payment of a debt, the existence of recoverable debt is necessary. If there is no principal debt, there can be no valid guarantee.

2. **Consideration:** Like every other contract, a contract of guarantee should also be supported by some consideration. A guarantee without consideration is void, but there is no need for a direct consideration between the surety and the creditor.

   As per Section 127 consideration received by the principal debtor is sufficient consideration to the surety for giving the guarantee, but past consideration is no consideration for the contract of guarantee. Even if the principal debtor is incompetent to contract, the guarantee is valid. But, if surety is incompetent to contract, the guarantee is void.

3. **Existence of a liability:** There must be an existing liability or a promise whose performance is guaranteed. Such liability or promise must be enforceable by law. The liability must be legally enforceable and not time barred.

4. **No misrepresentation or concealment (section 142 and 143):** Any guarantee which has been obtained by the means of

misrepresentation made by the creditor, or with his knowledge and assent, concerning a material part of the transaction, is invalid (section 142)

Any guarantee which the creditor has obtained by means of keeping silence as to material circumstances, is invalid (section 143).

5. **Writing not necessary:** Section 126 expressly declares that a guarantee may be either oral or written.

6. **Joining of the other co-sureties (Section 144):** Where a person gives a guarantee upon a contract that the creditor shall not act upon it until another person has joined in it as co-surety, the guarantee is not valid if that other person does not join. That implies, the guarantee by a surety is not valid if a condition is imposed by a surety that some other person must also join as a co-surety, but such other person does not join as a co-surety.

10. **(i)** A wholesaler of cotton has 100 bales in his godown. So, the goods are existing goods. He agrees to sell 50 bales and these bales were selected and set aside. On selection, the goods becomes ascertained. In this case, the contract is for the sale of ascertained goods, as the cotton bales to be sold are identified and agreed after the formation of the contract.

(ii) If A agrees to sell to B one packet of sugar out of the lot of one hundred packets lying in his shop, it is a sale of existing but unascertained goods because it is not known which packet is to be delivered.

(iii) T agrees to sell to S all the apples which will be produced in his garden this year. It is contract of sale of future goods, amounting to 'an agreement to sell.'

11. As per Section 15 of the Sale of Goods Act, 1930, where there is a contract for the sale of goods by description, there is an implied condition that the goods shall correspond with the description. Further, as per Section 16(2), when goods are bought by description from a seller who deals in such goods, there is an implied condition that they shall be of merchantable quality. However, if the buyer has examined the goods, the seller is not liable for defects which such examination ought to have

revealed. But where the defects are latent and cannot be discovered on ordinary inspection, the seller remains liable.

In the present case, Rahul, a trader, purchased 50 rolls of "premium silk cloth" from Kapil for the specific purpose of manufacturing wedding garments. On a casual inspection at the time of delivery, the cloth appeared to be fine. However, when used for tailoring, it was discovered that the fabric contained synthetic fibers and had hidden holes and stains. These defects were not visible during a simple inspection at the time of delivery but made the cloth unfit for its intended purpose. Kapil refused to refund the amount, stating that Rahul had already accepted the goods.

On the basis of the above provisions and facts, it is clear that the cloth did not correspond with its description of "premium silk" and was also not of merchantable quality. The defects were latent and could not have been noticed on ordinary inspection. Hence, Rahul is entitled to reject the goods and recover the price. Kapil cannot avoid liability merely on the ground that casual inspection was done by Rahul.

12. Section 24 of the Sale of Goods Act, 1930 states that when goods are delivered on approval or "sale or return" basis, the property passes to the buyer if he accepts them, does any act adopting the transaction such as reselling, or retains the goods beyond the fixed or reasonable time.

Section 27 provides the general rule that no one can transfer a better title than he himself has. But the Act recognizes exceptions to protect bona fide purchasers.

Under Section 30(1), if a seller in possession of goods resells them to a buyer in good faith, such buyer gets a valid title. Similarly, under Section 30(2), if a buyer with the seller's consent obtains possession and resells before ownership has passed the sub-buyer in good faith also acquires good title.

Thus, once goods on approval are retained beyond time or resold, ownership passes, and a purchaser in good faith is protected.

In the present case, Varun delivered 20 laptops to Rohit on approval for 10 days. Rohit neither rejected nor returned the goods but displayed them in his showroom and sold 5 laptops to Anuj. This constituted an

act of adopting the transaction under Section 24; therefore, ownership of all the laptops passed to Rohit. Since Anuj purchased them in good faith, for value, and without notice of Varun's rights, he falls within the exceptions under Sections 27 and 30.

Therefore, it is clear that by retaining the laptops beyond approval period and selling part of them, Rohit became the owner of the goods. His sale to Anuj was valid, and Anuj, being a bona fide purchaser, acquired a good title. Varun cannot recover the laptops from Anuj but may claim the price of the remaining from Rohit. Hence, Varun's contention is not legally sustainable.

13. If the seller commits a breach of contract, the buyer gets the following rights against the seller:

1. **Damages for non-delivery [Section 57 of the Sale of Goods Act, 1930]:** Where the seller wrongfully neglects or refuses to deliver the goods to the buyer, the buyer may sue the seller for damages for non-delivery.

2. **Suit for specific performance (Section 58):** Where the seller commits of breach of the contract of sale, the buyer can appeal to the court for specific performance. The court can order for specific performance only when the goods are ascertained or specific.

   This remedy is allowed by the court subject to these conditions:

   (a) The contract must be for the sale of specific and ascertained goods.

   (b) The power of the court to order specific performance is subject to provisions of Specific Relief Act of 1963.

   (c) It empowers the court to order specific performance where damages would not be an adequate remedy.

   (d) It will be granted as remedy if goods are of special nature or are unique.

3. **Suit for breach of warranty (Section 59):** Where there is breach of warranty on the part of the seller, or where the buyer elects to treat breach of condition as breach of warranty, the buyer is not entitled to

reject the goods only on the basis of such breach of warranty. But he may –

(i) set up against the seller the breach of warranty in diminution or extinction of the price; or

(ii) sue the seller for damages for breach of warranty.

4. **Repudiation of contract before due date (Section 60):** Where either party to a contract of sale repudiates the contract before the date of delivery, the other may either treat the contract as subsisting and wait till the date of delivery, or he may treat the contract as rescinded and sue for damages for the breach.

5. **Suit for interest:**

(1) Nothing in this Act shall affect the right of the seller or the buyer to recover interest or special damages, in any case where by law interest or special damages may be recoverable, or to recover the money paid where the consideration for the payment of it has failed.

(2) In the absence of a contract to the contrary, the court may award interest at such rate as it thinks fit on the amount of the price to the buyer in a suit filed by him for the refund of the price (in a case of a breach of the contract on the part of the seller) from the date on which the payment was made.

14. Property (Specific or ascertained goods) passes when intended to pass (Section 19 of the Sale of Goods Act, 1930):

Where there is a contract for the sale of specific or ascertained goods, the property in them is transferred to the buyer at such time as the parties to the contract intend it to be transferred. [sub-section (1)]

For the purpose of ascertaining the intention of the parties, regard shall be had to the terms of the contract, the conduct of the parties and the circumstances of the case. [sub-section (2)]

Unless a different intention appears, the rules contained in Sections 20 to 24 are rules for ascertaining the intention of the parties as to the time at which the property in the goods is to pass to the buyer. [sub-section (3)]

Stages of goods while passing of property

1. **Specific goods in a deliverable state (Section 20):** Where there is an unconditional contract for the sale of specific goods in a deliverable state, the property in the goods passes to the buyer when the contract is made, and it is immaterial whether the time of payment of the price or the time of delivery of the goods, or both, is postponed. Here, the condition is goods must be ready for delivery.

2. **Specific goods to be put into a deliverable state (Section 21):** Where there is a contract for the sale of specific goods and the seller is bound to do something to the goods for the purpose of putting them into a deliverable state, the property does not pass until such thing is done and the buyer has notice thereof.

3. **Specific goods in a deliverable state, when the seller has to do anything thereto in order to ascertain price (Section 22):** Where there is a contract for the sale of specific goods in a deliverable state, but the seller is bound to weigh, measure, test or do some other act or thing with reference to the goods for the purpose of ascertaining the price, the property does not pass until such act or thing is done and the buyer has notice thereof.

15. According to Section 4, Section 5 and Section 6 of the Indian Partnership Act, 1932 –

- Partnership is the relation between persons who have agreed to share the profits of a business carried on by all or any of them acting for all.
- The following essentials must exist to constitute a partnership:
    - There must be an agreement between the parties;
    - The agreement must be to carry on a business;
    - The agreement must be to share profits of such business; and
    - The business must be carried on by all or any of them acting for all (mutual agency).

- Partnership arises from contract and not from status.
- The real relation between the parties, as shown by all relevant facts, determines whether a partnership exists.
- In contrast, co-ownership arises by inheritance or purchase and does not necessarily involve business or mutual agency.

In the present case, Arun and Varun, while working in jobs, purchased a piece of land with their joint savings. They built shops on it and rented them out, dividing the rental income equally. When a tenant defaulted on paying ₹50,000, Varun demanded the entire amount from Arun, treating them as "partners." Arun denied this, claiming they were only co-owners of the property and not partners in any business.

On applying the above provisions, it is clear that Arun and Varun are only co-owners and not partners. They never entered into an agreement to carry on a business with a profit motive; they simply invested in property and shared rental income. There is no element of business activity or mutual agency between them.

Therefore, under the Indian Partnership Act, 1932, they cannot be regarded as partners. Arun is liable only for his individual share of the defaulted rent and not for the whole amount.

16. According to Section 44 of the Indian Partnership Act, 1932, the Court may dissolve a firm on several grounds, including when a partner becomes of unsound mind, when a partner is guilty of misconduct affecting business, when partners commit persistent breaches of the partnership agreement, or when it becomes just and equitable to dissolve the firm.

Further, Section 46 provides that on dissolution of a firm, every partner or his representative is entitled to have the firm's property applied in payment of debts and liabilities of the firm, and the surplus distributed among partners according to their rights. No partner can claim exclusive rights over the property of the firm after dissolution.

Here, N became mentally unsound and incapable of attending to partnership matters. O alleged that M was guilty of misconduct and misappropriation of funds. Due to loss of confidence and ongoing

disputes, O approached the court for dissolution of the firm. The court ordered the dissolution. Subsequently, M claimed personal rights over the firm's assets, particularly its vehicles, for his individual use.

In the instant case, the dissolution ordered by the court was valid under Section 44, as one partner was of unsound mind and another was guilty of misconduct. After dissolution, under Section 46, the firm's assets must be used for clearing liabilities and then distributed among partners according to their share. M cannot claim exclusive rights over trucks and vehicles for personal business. His claim is unjustified, and the property must be applied for settlement of accounts of the dissolved firm.

17. Rights of Transferee of a Partner's interest (Section 29 of the Indian Partnership Act, 1932)

A share in a partnership is transferable like any other property, but as the partnership relationship is based on mutual confidence, the assignee of a partner's interest by sale, mortgage or otherwise cannot enjoy the same rights and privileges as the original partner.

The rights of such a transferee are as follows:

(I) During the continuance of partnership, such transferee is not entitled:

(a) to interfere with the conduct of the business,

(b) to require accounts, or

(c) to inspect books of the firm.

He is only entitled to receive the share of the profits of the transferring partner and he is bound to accept the profits as agreed to by the partners, i.e., he cannot challenge the accounts.

(II) On the dissolution of the firm or on the retirement of the transferring partner, the transferee will be entitled, against the remaining partners:

(a) to receive the share of the assets of the firm to which the transferring partner was entitled, and

(b) for the purpose of ascertaining the share,

he is entitled to an account as from the date of the dissolution.

By virtue of Section 31, which we will discuss hereinafter, no person can be introduced as a partner in a firm without the consent of all the partners. A partner cannot by transferring his own interest, make anybody else a partner in his place, unless the other partners agree to accept that person as a partner. At the same time, a partner is not debarred from transferring his interest. A partner's interest in the partnership can be regarded as an existing interest and tangible property which can be assigned.

18. Change of name of LLP (Section 17 of the Limited Liability Partnership Act, 2008):

(1) Notwithstanding anything contained in sections 15 and 16, if through inadvertence or otherwise, a LLP, on its first registration or on its registration by a new body corporate, its registered name, is registered by a name which is identical with or too nearly resembles to —

(a) that of any other LLP or a company; or

(b) a registered trade mark of a proprietor under the Trade Marks Act, 1999, as is likely to be mistaken for it,

then on an application of such LLP or proprietor referred to in clauses (a) and (b) respectively or a company,

the Central Government may direct that such LLP to change its name or new name within a period of 3 months from the date of issue of such direction.

It is further provided that an application of the proprietor of the registered trade marks shall be maintainable within a period of 3 years from the date of incorporation or registration or change of name of the LLP under this Act.

(2) Where a LLP changes its name or obtains a new name under sub-section (1), it shall within a period of 15 days from the date of such change, give notice of the change to Registrar along with the order of the Central Government, who shall carry out necessary changes in the certificate of incorporation and within 30 days of

such change in the certificate of incorporation, such LLP shall change its name in the LLP agreement.

(3) If the LLP is in default in complying with any direction given under sub-section (1), the Central Government shall allot a new name to the LLP in such manner as may be prescribed and the Registrar shall enter the new name in the register of LLP in place of the old name and issue a fresh certificate of incorporation with new name, which the LLP shall use thereafter.

Nothing contained in this sub-section shall prevent a LLP from subsequently changing its name in accordance with the provisions of section 16.

19. The Memorandum of Association defines the scope of activities of a company. Any act done beyond the objects stated in the memorandum is ultra vires and void. The doctrine of ultra vires, established in *Ashbury Railway Carriage and Iron Co. Ltd. vs. Riche*, holds that an act beyond the powers of the company cannot be ratified even by unanimous consent of all shareholders. Such acts are wholly void and cannot bind the company.

In the instant case, the object clause of Sunrise Infrastructure Ltd. restricted the company's business to real estate development. However, the directors diverted funds into speculative share trading, which was not included in the memorandum. This activity was therefore beyond the powers conferred on the company.

Therefore, the directors' action is ultra vires the company and, therefore, void. The company is not bound by such acts, and the funds utilized for speculative purposes can be recovered. The doctrine of ultra vires protects shareholders and creditors by ensuring that the company's capital is used only for authorized purposes.

20. Section 2(45) of the Companies Act, 2013 defines a government company as one in which not less than 51% of the paid-up share capital is held by the Central Government, State Government(s), or jointly by the Central and State Governments.

In the instant case, the Central and State Governments together held 75% of the paid-up share capital of Bharat Infrastructure Ltd. The remaining 25% was private investors.

Taking into account the provisions of the Companies Act, 2013, Bharat Infrastructure Ltd. is a Government Company, since the combined government holding exceeds 51%. The argument of the private shareholders is untenable.

21. Yes, a non-profit organization be registered as a company under the Companies Act, 2013 by following the provisions of section 8 of the Companies Act, 2013. Section 8 of the Companies Act, 2013 deals with the formation of companies which are formed to

- promote the charitable objects of commerce, art, science, sports, education, research, social welfare, religion, charity, protection of environment etc.
- Such company intends to apply its profit in
- promoting its objects and
- prohibiting the payment of any dividend to its members.

The Central Government has the power to issue license for registering a section 8 company.

(i) Section 8 allows the Central Government to register such person or association of persons as a company with limited liability without the addition of words 'Limited' or 'Private limited' to its name, by issuing licence on such conditions as it deems fit.

(ii) The registrar shall on application register such person or association of persons as a company under this section.

(iii) On registration the company shall enjoy same privileges and obligations as of a limited company.

22. Section 11 of the Negotiable Instruments Act, 1881 defines an inland instrument as a promissory note, bill of exchange, or cheque drawn or made in India and either payable in India or drawn upon a person resident in India. Section 12 provides that any instrument which is not an inland instrument is deemed to be a foreign instrument.

Further, Section 134 of the Act states that in the absence of a contrary contract, the liability of the maker or drawer of a foreign promissory note, bill of exchange or cheque is regulated by the law of the place where the instrument is made, whereas the liability of the acceptor or indorser is determined by the law of the place where the instrument is payable.

Here, the bill was drawn by Anil in Kolkata on Bimal, a resident of New York, and was made payable in Delhi. On dishonour, Anil claimed interest at 18% as per the law prevailing in India, while Bimal claimed that his liability should be limited to 6% under New York law.

Since the bill was drawn in India but made payable in Delhi, the liability of the acceptor (Bimal) is governed by Indian law, i.e., the law of the place of payment. Therefore, Bimal is liable to pay interest at 18% as claimed by Anil.

23. **Bearer Instrument**: It is an instrument where the name of the payee is blank or where the name of payee is specified with the words "or bearer" or where the last indorsement is blank. Such instrument can be negotiated by mere delivery.

Order Instrument: It is an instrument which is payable to a person or Payable to a person or his order or Payable to order of a person or where the last indorsement is in full, such instrument can be negotiated by indorsement and delivery.

"Inland instrument": A promissory note, bill of exchange or cheque drawn or made in India and made payable in, or drawn upon any person resident in India shall be deemed to be an inland instrument.

"Foreign instrument": A foreign instrument is one which is not an inland instrument.

PAPER – 3:
QUANTITATIVE APTITUDE

QUESTIONS

1. If a : b = 3 : 4, the value of (2a+3b) : (3a+4b) is

   (A) 18: 25

   (B) 8 : 25

   (C) 17 : 24

   (D) None of these

2. Two alloys contain silver and copper in the ratio of 3:1 and 5:3. In what ratio the two alloys should be added together to get a new alloy having silver and copper in the ratio of 2:1.

   (A) 1:3

   (B) 1:2

   (C) 2:3

   (D) None of these

3. If $\log_x \sqrt[3]{2} = \frac{1}{15}$; then value of x is

   (A) 8

   (B) 32

   (C) 16

   (D) 64

4. If α , ß be the roots of the equation $2x^2 - 4x - 3 = 0$, the value of $\alpha^2 + ß^2$ is _____.

   (A) 5

   (B) 7

   (C) 3

   (D) -4

5. Mr. A plans to invest upto Rs.30,000 in two stocks X and Y. Stock X(x) is priced at Rs.175 and Stock Y(y) at Rs.95 per share. This can be shown by

   (A) $175x+95y \leq 30,000$

   (B) $175x+95y \geq 30,000$

   (C) $175x+95y = 30,000$

   (D) None of these

6. The difference between Compound Interest and Simple Interest on a certain sum for 2 years at 6% p.a. is Rs. 13.50. Find the sum

   (A) 3750

   (B) 2750

   (C) 4750

   (D) None of these

7. The effective rate of interest corresponding to a nominal rate 3% p.a. payable half yearly is

   (A) 3.2% p.a.

   (B) 3.25% p.a.

   (C) 3.0225% p.a.

   (D) none of these

8. Every two person shakes hands with each other in a party and the total number of hand shakes is 66. The number of guests in the party is

   (A) 11

   (B) 12

(C) 13

(D) 14

9. The ways of selecting 4 letters from the word EXAMINATION is

(A) 136

(B) 130

(C) 125

(D) none of these

10. A box contains 7 red, 6 white and 4 blue balls. How many selections of two balls can be made so that none is red?

(A) 90

(B) 45

(C) 48

(D) 12

11. Find the sum of 10 terms G.P with first term and common ratio being 8 and 3 respectively?

(A) 263291

(B) -236291

(C) 219631

(D) 236192

12. The sum of progression (a+b), a, (a–b).....n term is

(A) $\frac{n}{2}[2a+(n-1)b]$

(B) $\frac{n}{2}[2a+(3-n)b]$

(C) $\frac{n}{2}[2a+(3-n)]$

(D) $\frac{n}{2}[2a+(n-1)]$

13. Given A = {2, 3}, B = {4, 5}, C = {5, 6} then A × (B∩C) is

(A) {(2, 5), (3, 5)}

(B) {(5, 2), (5, 3)}

(C) {(2, 3), (5, 5)}

(D) None of these.

14. Find the *f o g* for the functions f (x) =x^2, g (x) = x+ 1

(A) x^2 (x+1)

(B) x^2

(C) x+1

(D) $(x+1)^2$

15. $\lim_{x \to t} \frac{x^3 - t^3}{x^2 - t^2}$ is evaluated to be

(A) 3/2

(B) 2/3 t

(C) $\left(\frac{3}{2}\right)t$

(D) None of these.

16. $\lim_{x \to 2} \frac{2x^2 - 7x + 6}{5x^2 - 11x + 2}$ is equal to

(A) 1/9

(B) 9

(C) -1/9

(D) none of these

17. $\int_0^2 3x^2 \, dx$ is

(A) 7

(B) -8

(C) 8

(D) None of these

18. The derivative of $8x^2–2x+ 5$ w.r.t. x is

(A) 16x+2

(B) 16x–2

(C) 16x–2/x+5

(D) 16x+7

19. The entire upper part of a table is known as

(A) Caption.

(B) Stub.

(C) Box head.

(D) Body.

20. A Qualitative characteristic is known as

(A) An attribute.

(B) A variable.

(C) A discrete variable.

(D) A continuous variable.

21. If each item is reduced by 12, A.M. is

(A) Reduced by 12

(B) Increased by 12

(C) Unchanged

(D) None of these

22. An Ogive can be prepared in _____ different ways.

(A) 2

(B) 3

(C) 4

(D) 5

23. The median of 27,30,26,44,42,51,37 is

(A) 30

(B) 42

(C) 44

(D) 37

24. If the relationship between x and y is given by 4x– 6y =13 and if the median of x is 16. Find median of y.

(A) 7.50

(B) 8.00

(C) 8.50

(D) none of these

25. If r = 0.8, then coefficient of determination .....shall be

(A) 0.64

(B) 0.40

(C) 0.60

(D) 0.80

26. If 2x + 5y – 9 = 0 and 3x – y – 5 = 0 are two regression equation, then find the value of mean of x and mean of y.

(A) 2,1

(B) 2,2

(C) 1,2

(D) 1,1

27. When r = 0 then Cov(x,y) is equal to

(A) +1

(B) -1

(C) 0

(D) None of these

28. The two lines of regression become identical when

(A) r = 1

(B) r = –1

(C) r = 0

(D) (a) or (b)

29. For a (m×n) classification of bivariate data, the maximum number of conditional distributions is

(A) q

(B) p+q

(C) pq

(D) p

30. Circular test is satisfied by which index number?

(A) Laspeyre's

(B) Paasche's

(C) Fisher's

(D) Simple Geometric mean of price Relatives and the aggregative with Fixed weights.

SUGGESTED ANSWERS/HINTS

1.	**(A)**	2.	**(B)**	3.	**(B)**	4.	**(B)**	5.	**(A)**
6.	**(A)**	7.	**(C)**	8.	**(B)**	9.	**(A)**	10.	**(B)**
11.	**(D)**	12.	**(B)**	13.	**(A)**	14.	**(D)**	15.	**(C)**
16.	**(A)**	17.	**(C)**	18.	**(B)**	19.	**(C)**	20.	**(A)**
21.	**(A)**	22.	**(A)**	23.	**(D)**	24.	**(C)**	25.	**(A)**
26.	**(A)**	27.	**(C)**	28.	**(D)**	29.	**(B)**	30.	**(D)**

PAPER – 4: BUSINESS ECONOMICS



QUESTIONS

1. Which of the following refers to the study of the economic behaviour of individual decision-making units, such as individual consumers, resource owners, and business firms, in a free enterprise system?

   (A) Business economics

   (B) Microeconomics

   (C) Macroeconomic

   (D) Econometrics

2. Which of the following refers to the study of the total or aggregate level of output, income, employment, consumption, investment, and prices for the economy viewed as a whole?

   (A) Managerial economics

   (B) Microeconomics

   (C) Macroeconomics

   (D) Econometrics

3. Implicit cost is equal to:

   (A) business profit minus economic profit.

   (B) business profit plus economic profit.

   (C) economic profit minus business profit

(D) economic profit minus explicit cost

4. If the demand curve for a firm's output is perfectly elastic, then the firm:

(A) a monopolist.

(B) perfectly competitive.

(C) an oligopolist.

(D) monopolistically competitive.

5. Firms in an industry that produces a differentiated product:

(A) are either monopolists or oligopolists.

(B) are either monopolistically competitive or perfectly competitive.

(C) are either monopolistically competitive or oligopolists.

(D) are either perfectly competitive or oligopolists.

5. The type of industry organization that is characterized by recognized interdependence and nonprice competition among firms is called:

(A) monopoly.

(B) perfect competition.

(C) oligopoly.

(D) monopolistic competition.

6. Which of the following short-run cost curves declines continuously?

(A) Average total cost

(B) Marginal cost

(C) Average fixed cost

(D) Average variable cost

7. The restaurant industry has a market structure that comes closest to:

(A) monopolistic competition

(B) oligopoly.

(C) perfect competition.

(D) monopoly.

8. Economic indicator of contraction and expansionary phase by measuring real GDP is:

(A) Business cycle

(B) Technical indicator

(C) Leading indicator

(D) Lagging indicator

9. National income accountants can avoid multiple counting by:

(A) Counting both intermediate and final goods.

(B) Only counting final goods.

(C) Only counting intermediate goods.

(D) Including transfers in their calculations.

10. What does Article 246 of the Indian Constitution deal with?

(A) The distribution of revenue between the Centre and States

(B) The division of legislative powers between the Centre and States

(C) The establishment of Panchayati Raj institutions

(D) The powers of the President to make laws

11. Excessive and unplanned public expenditure may lead to:

(A) Economic stability

(B) Fiscal crisis and debt burden

(C) Reduction in money supply

(D) A decrease in inflation

12. Which of the following situations best demonstrates a market failure due to asymmetric information?

    (A) A monopolist exploiting market power by reducing supply

    (B) Consumers buying substandard products because they lack information about quality

    (C) The government providing public goods like street lighting

    (D) A natural monopoly were economies of scale drive market concentration

13. Which of the following is NOT a part of the money supply in an economy?

    (A) Currency held by the central bank

    (B) Demand deposits in commercial banks

    (C) Saving accounts in commercial banks

    (D) Time deposits in commercial banks

14. Which of the following is NOT a typical tool of monetary policy used by a central bank?

    (A) Open market operations

    (B) Changing the reserve requirements of commercial banks

    (C) Adjusting the tax rates in the economy

    (D) Changing the discount rate

15. According to the Heckscher-Ohlin theory, a country will have a comparative advantage in the production of goods that:

    (A) Require labour-intensive techniques if the country has a surplus of capital.

    (B) Utilize abundant factors of production that the country has in large supply.

    (C) Require advanced technology in which the country is technologically superior.

(D) Require high labour costs in a country with low wages.

16. In international trade negotiations, which of the following is the most common objective for countries involved in multilateral trade talks?

(A) To increase tariffs and protect domestic industries

(B) To reduce trade barriers and promote free trade

(C) To restrict foreign competition through quotas

(D) To enhance domestic subsidies for agricultural sectors

17. Which of the following is a primary objective of India's Five-Year Plans?

(A) To regulate and control foreign trade

(B) To promote balanced economic growth across all regions

(C) To discourage the private sector in favour of public enterprises

(D) To ensure foreign aid and capital inflows into the country

18. Which of the following is the most important source of India's foreign exchange earnings?

(A) Industrial exports

(B) Remittances from Indians working abroad

(C) Tourism

(D) Services exports, especially IT and software

19. The Green Revolution in India focused primarily on increasing the production of:

(A) Oilseeds

(B) Food grains, especially wheat and rice

(C) Fruits and vegetables

(D) Cash crops like cotton and sugarcane

20. According to the Quantity Theory of Money, if the money supply increases while the velocity of money and output remain constant, the general price level will:

    (A) Decrease

    (B) Increase proportionately

    (C) Stay the same

    (D) Increase, but unpredictably

21. Which of the following would be an example of a counter-cyclical fiscal policy during a period of recession?

    (A) Increasing taxes and reducing government spending

    (B) Cutting taxes and increasing government expenditure

    (C) Reducing the public debt by increasing savings

    (D) Avoiding changes in taxes and government spending

22. If a country's currency is depreciating, it means that:

    (A) The domestic currency is increasing in value relative to foreign currencies.

    (B) The country's exports will become more expensive to foreign buyers.

    (C) The country's exports become cheaper for foreign buyers, potentially boosting trade.

    (D) The central bank is actively increasing the supply of money.

23. Diminishing marginal utility implies that the:

    (A) marginal utility of a good diminishes over time.

    (B) total utility is negative.

    (C) last unit of a good consumed will contribute most to the consumer's satisfaction.

(D) first unit of a good consumed will contribute most to the consumer's satisfaction.

24. Which one of the following is not an internal economy of scale?

(A) Technical economies

(B) Financial economies

(C) Economies due to localization of industries

(D) Marketing economies

25. If a firm's total revenue is not enough to make good even the _____, it is better for firm to shut down.

(A) Total fixed cost

(B) Marginal cost

(C) Average fixed cost

(D) Total variable cost



SUGGESTED ANSWERS/HINTS

1.	**(A)**	2.	**(C)**	3.	**(D)**	4.	**(B)**	5.	**(C)**
6.	**(C)**	7.	**(B)**	8.	**(A)**	9.	**(B)**	10.	**(B)**
11.	**(B)**	12.	**(B)**	13.	**(A)**	14.	**(C)**	15.	**(B)**
16.	**(B)**	17.	**(B)**	18.	**(D)**	19.	**(B)**	20.	**(B)**
21.	**(B)**	22.	**(C)**	23.	**(D)**	24.	**(C)**	25.	**(D)**

Applicability of Standards/Guidance Notes/Legislative Amendments etc. for January, 2026 Examination

Foundation Level

Paper 2: Business Laws

The provisions of the Companies Act, 2013 and the Limited Liability Partnership Act, 2008 along with significant Rules/ Notifications/ Circulars/ Clarification/ Orders issued by the Ministry of Corporate Affairs up to 30.06.25 are applicable for January 2026 examination.

The Study Material has to be read along with the 'Relevant Legislative amendments for January 2026 examinations' for the period of 1.5.2024 to 30.06.25.